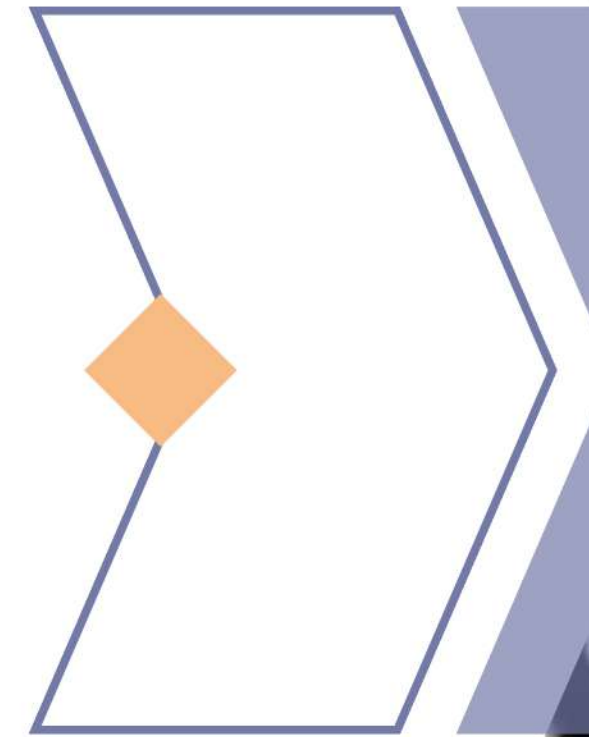


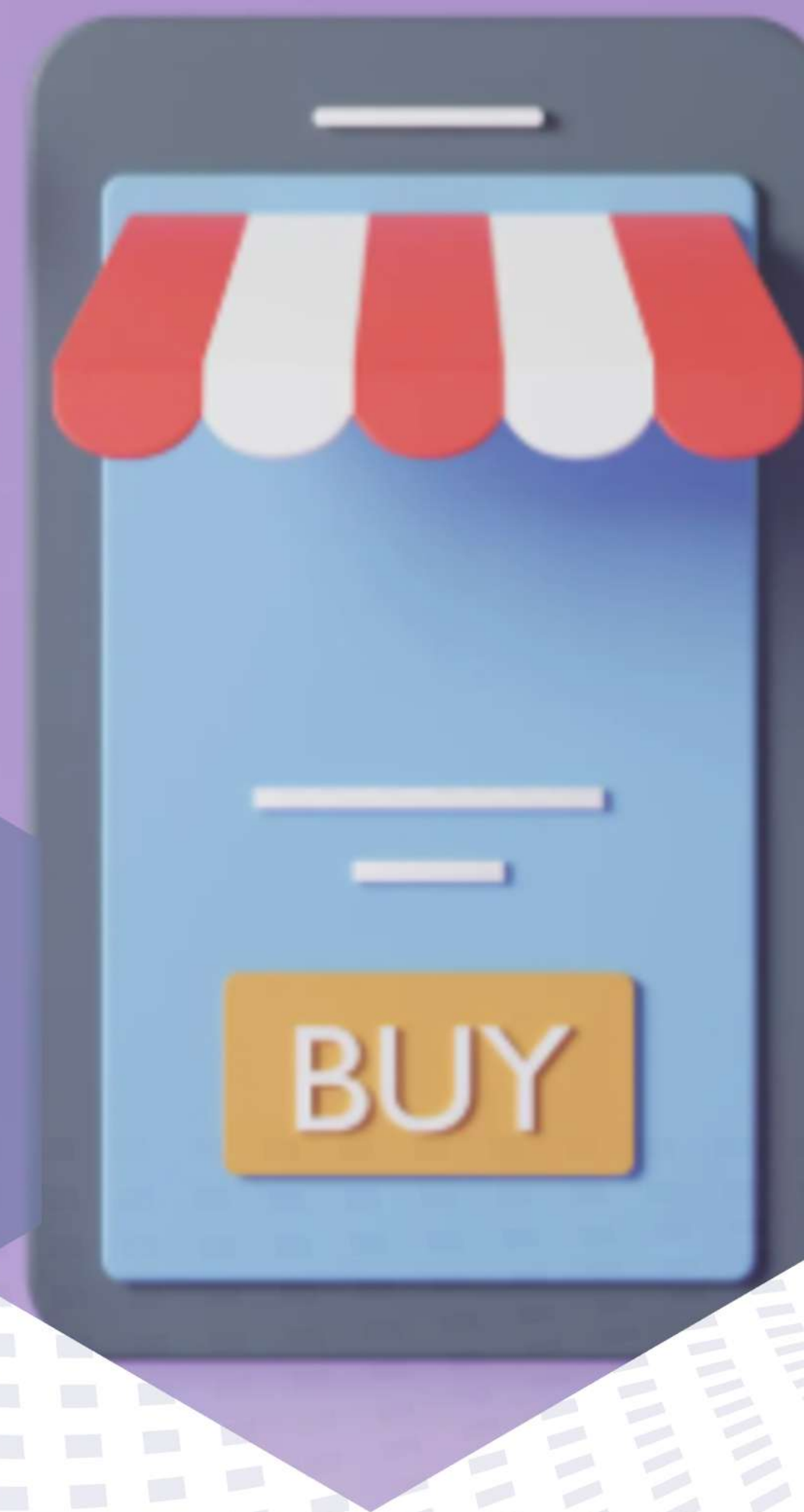
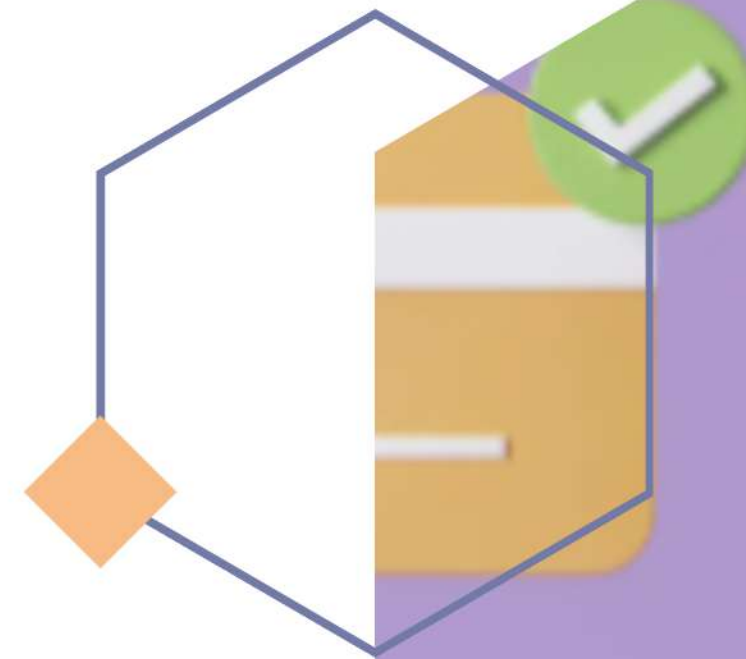


E-Commerce Insight Hunters

Don't Hunt to Wound, But to Heal!



<u>Introduction to Our Project</u>	01
<u>Industry Research</u>	02
<u>Data Collection</u>	03
<u>SQL Analysis</u>	04
<u>Power BI Dashboard</u>	05
<u>Insights</u>	06
<u>Thank you!</u>	07



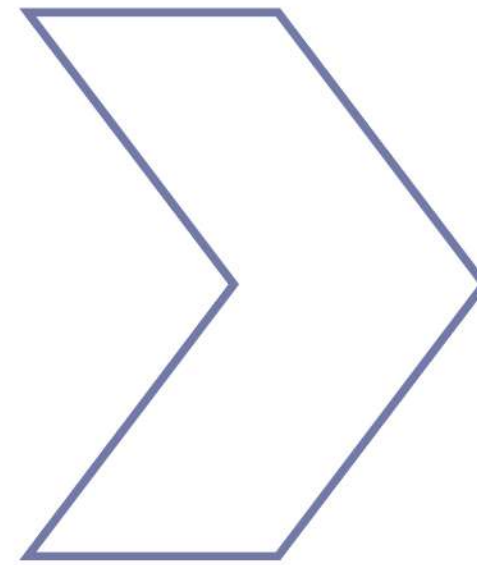
Introduction to Our Project

We **Insight Hunters** are, a group of passionate data enthusiasts driven by curiosity and a desire to uncover hidden insights. We embarked on the **E-Commerce** Data Analysis project as part of the DEPI initiative, aiming to explore customer behavior, sales performance, and market trends in the online shopping sector.

Our journey began with a deep dive into the e-commerce world. We wanted to understand not just the numbers, but the story behind them the patterns, the trends, and the untapped opportunities. With determination and careful planning, we set out to transform raw data into actionable insights that could drive real business decisions.



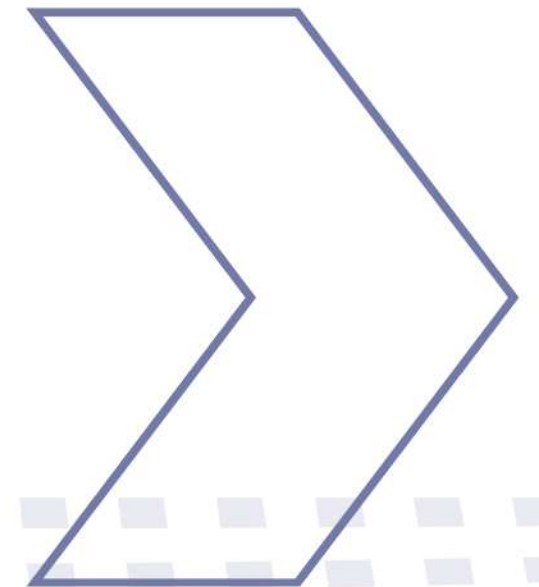
**industry
research**



**data
Collection**



**SQL
Analysis**



**Power BI
Dashboard**

industry research

We conducted focused industry research to understand the e-commerce market.

Our work included:

- Studying **benchmark** reports to compare performance standards in leading e-commerce companies.
- Summarizing key ideas from important **books** and resources with the he NotebookLM.
- Searching for **real case studies** to see how data analytics is applied in real businesses.
- Creating an Industry Research **Report** that brings together all our findings and guides our project decisions.

The Digital Innovator's Playbook

Key Insights on Building, Launching, and Scaling Online

A Curated Guide by Insight Hunters

Introduction

In the vast, competitive digital landscape, having a great idea is only the beginning. Turning that idea into a successful, sustainable business requires a precise understanding of methodology, user experience, marketing strategy, and sales psychology.

The "Insight Hunters" team has curated this playbook, a synthesis of four foundational books that provide a comprehensive roadmap for the modern entrepreneur. This guide is designed to equip you with the core principles needed to navigate the entire business lifecycle:

1. **The Lean Startup:** How to build and validate your product efficiently.
2. **Don't Make Me Think:** How to design your product with the user in mind.
3. **DotCom Secrets:** How to structure the engine that sells your product.
4. **Launch:** How to introduce your product to the market with maximum impact.

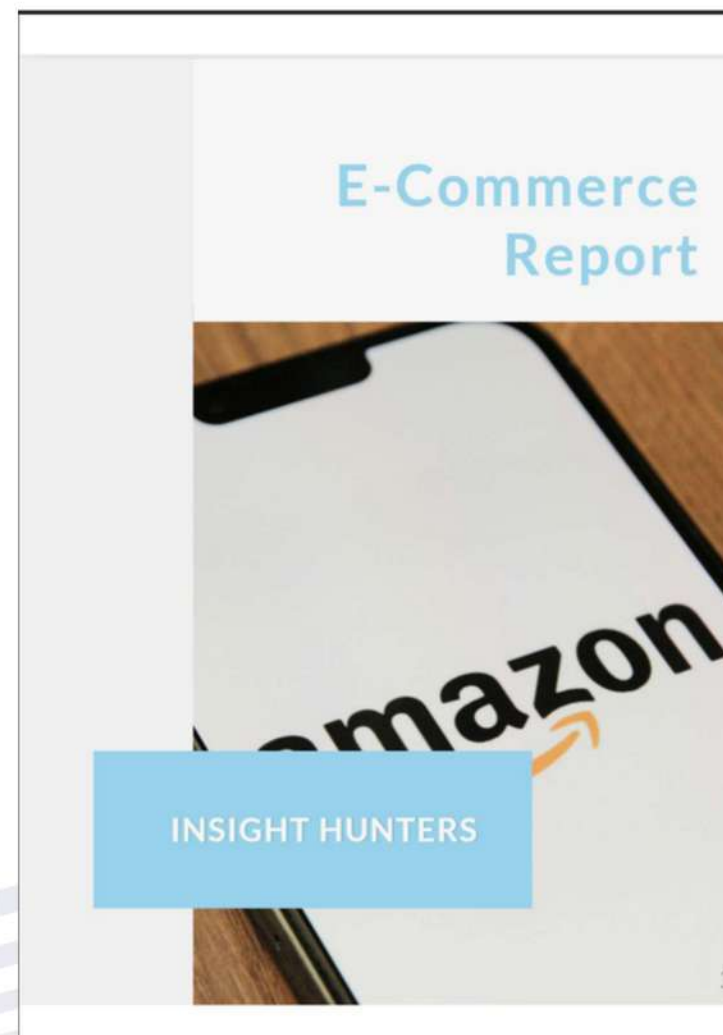
By mastering the lessons within these chapters, you will be prepared to not only find your insights but also to hunt down success.

Chapter 1: DotCom Secrets

The Science of Sales Funnels

About the Book

"DotCom Secrets: The Underground Playbook for Growing Your Company Online" is a comprehensive guide by author **Russell Brunson**, co-founder of ClickFunnels. Published in April 2015, the book focuses on the core strategies and techniques required to **build and scale a successful online business** through the mastery of **sales funnels**.

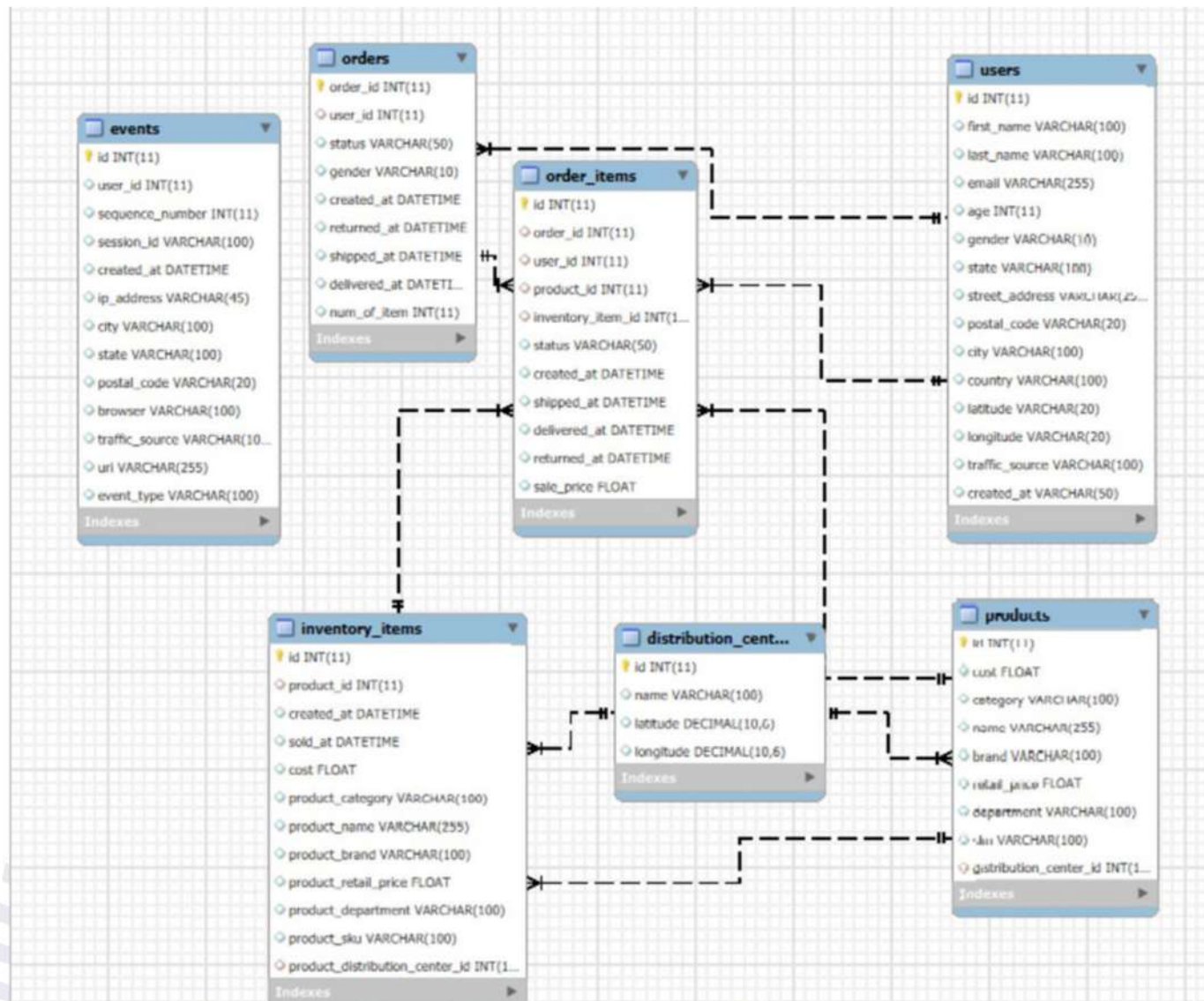


data Collection

For data collection, we gathered all the raw e-commerce datasets provided in multiple CSV files.

Our process included:

- Organizing the files and reviewing their structure.
- Checking data quality and identifying missing or inconsistent values.
- Preparing the data for loading into our SQL database.
- Ensuring all datasets were ready for the data warehouse stage.



SQL Analysis

For the SQL analysis stage, we transformed the raw data into meaningful insights through structured queries.

Our work included:

- Writing SQL queries to clean, filter, and prepare the data.
- Performing aggregation and grouping to uncover trends in sales, customers, and products.
- Creating views and organized tables to support the data warehouse.
- Ensuring the data was fully ready for visualization in Power BI.

View 2: daily_traffic_overview

Description

Shows total events and unique users per day.
This helps visualize traffic trends over time for example, which days have the highest engagement.

```
CREATE VIEW daily_traffic_overview AS
SELECT
    DATE(created_at) AS event_date,
    COUNT(*) AS total_events,
    COUNT(DISTINCT user_id) AS unique_users
FROM events
GROUP BY DATE(created_at)
ORDER BY event_date;
```

event_date	total_events	unique_users
2019-01-02	559	1
2019-01-03	570	1
2019-01-04	606	1
2019-01-05	658	1
2019-01-06	582	2
2019-01-07	610	3
2019-01-08	585	1
2019-01-09	622	1
2019-01-10	498	1
2019-01-11	605	2
2019-01-12	637	1
2019-01-13	624	3

View 3: browser_usage_stats

Description

Displays the number of users and events per browser.
It helps understand which browsers dominate your user base useful for frontend optimization.

E-commerce Analysis: Final Scripts & Documentation CMO / CX

Category 1: CMO (Chief Marketing Officer) Analysis

Goal:

To measure the effectiveness of marketing channels, understand true customer value, and track loyalty and retention. These queries analyze acquisition, customer lifetime value (CLV), and cohort behavior to guide strategic marketing spend.

Query 1.1: Channel Acquisition Summary

Description:

This view provides a high-level summary of acquisition performance by traffic source. It counts the total unique sessions, the total orders generated (by counting unique sessions with a 'purchase' event), and segments this traffic into "Guest" vs. "Logged-in" sessions. It's the first step in identifying which channels drive high-volume traffic versus high-value, purchasing traffic.

```
24 -- CMO ANALYSIS -----
25 -- Acquisition Analysis -----
26 SELECT
27     traffic_source,
28     COUNT(DISTINCT session_id) AS total_sessions,
29     COUNT(CASE
30         WHEN event_type = 'purchase' THEN event_type
31         ELSE NULL
32     END) AS total_orders,
33     COUNT(DISTINCT CASE
34         WHEN user_id IS NOT NULL THEN session_id
35         END) AS logged_in_customers,
36     COUNT(DISTINCT CASE
37         WHEN user_id IS NULL THEN session_id
38         END) AS guest_sessions
39 FROM
40     events
41 GROUP BY traffic_source;
```

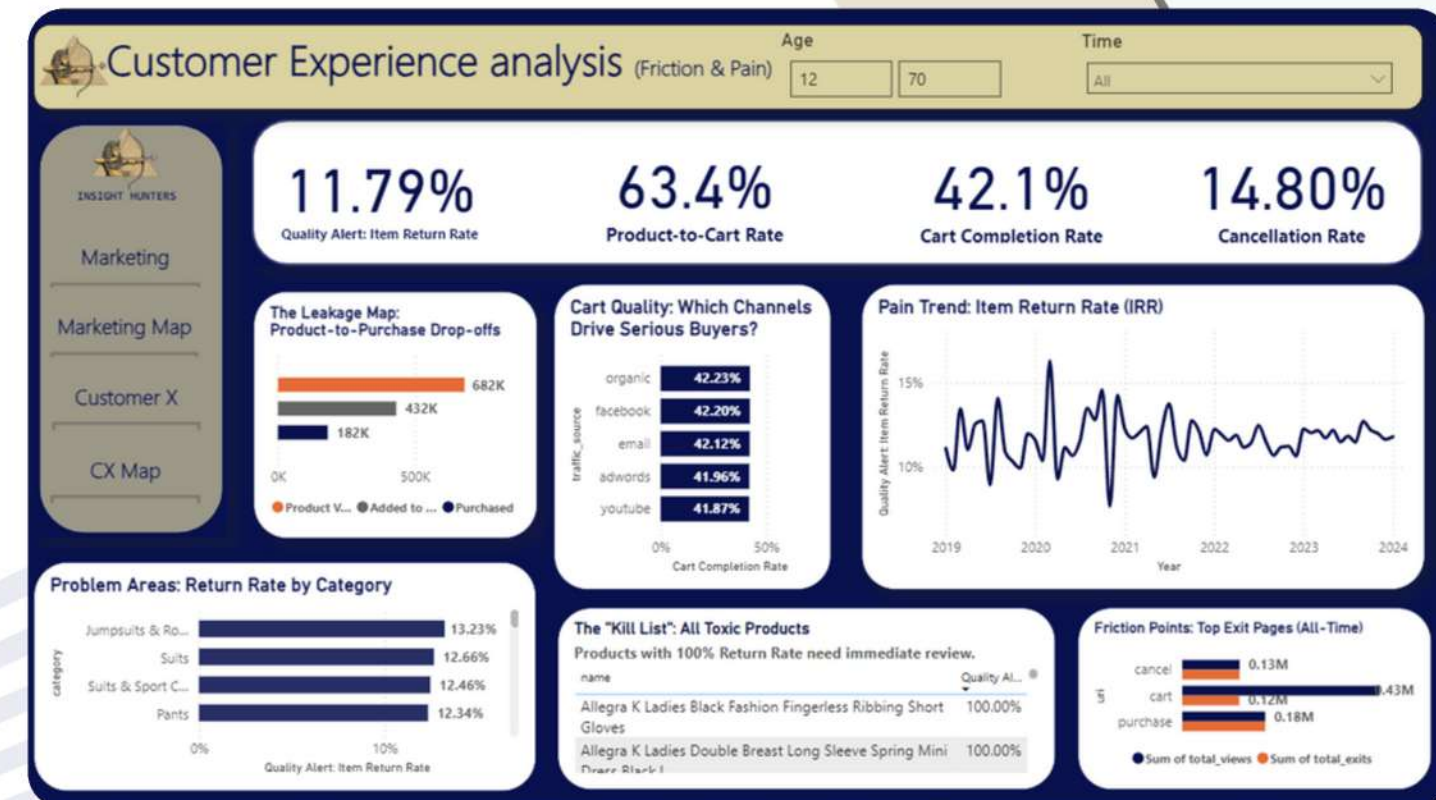
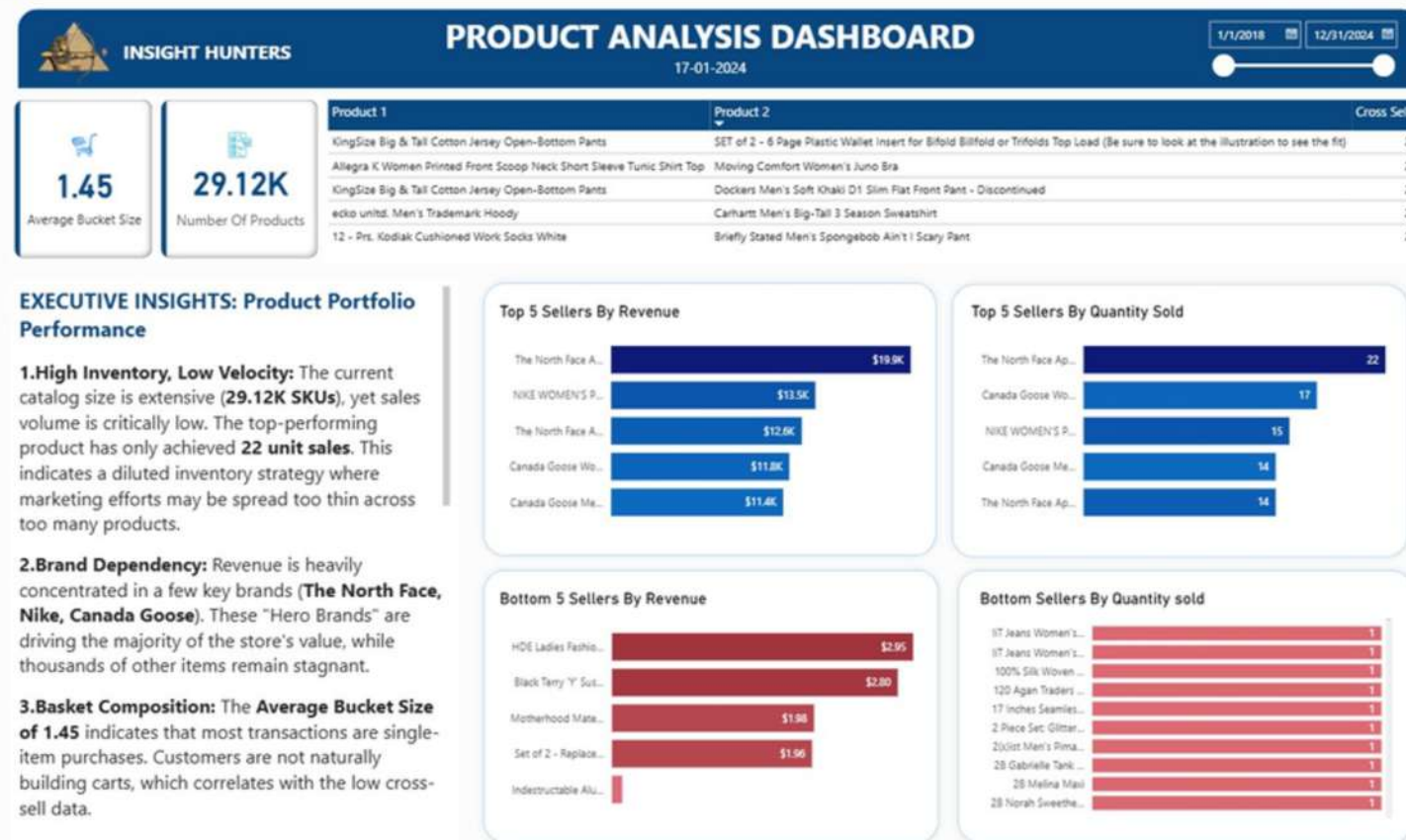
traffic_source	total_sessions	total_orders	logged_in_customers	guest_sessions
adwords	205010	54542	54542	150468
email	306313	81706	81706	224607
facebook	67933	18305	18305	49628
organic	34301	9124	9124	25177
youtube	68202	18082	18082	50120

Power BI Dashboard

For the visualization stage, we built an interactive Power BI dashboard to bring our analysis to life.

Our work included:

- Designing clear and intuitive data visuals for sales, customers, and product performance.
- Connecting Power BI to our SQL data warehouse for real-time, accurate insights.
- Creating filters, slicers, and drill-down features to help stakeholders explore the data easily.
- Highlighting key KPIs and trends to support decision-making.





Executive Performance Dashboard

Key insights to support executive decision-making

Time

Multiple selections

\$15.1

RPS

17.00%

CVR %

\$86.39

AOV

116K

Total Orders

664K

Total Sessions

\$10.03M

Total Revenue

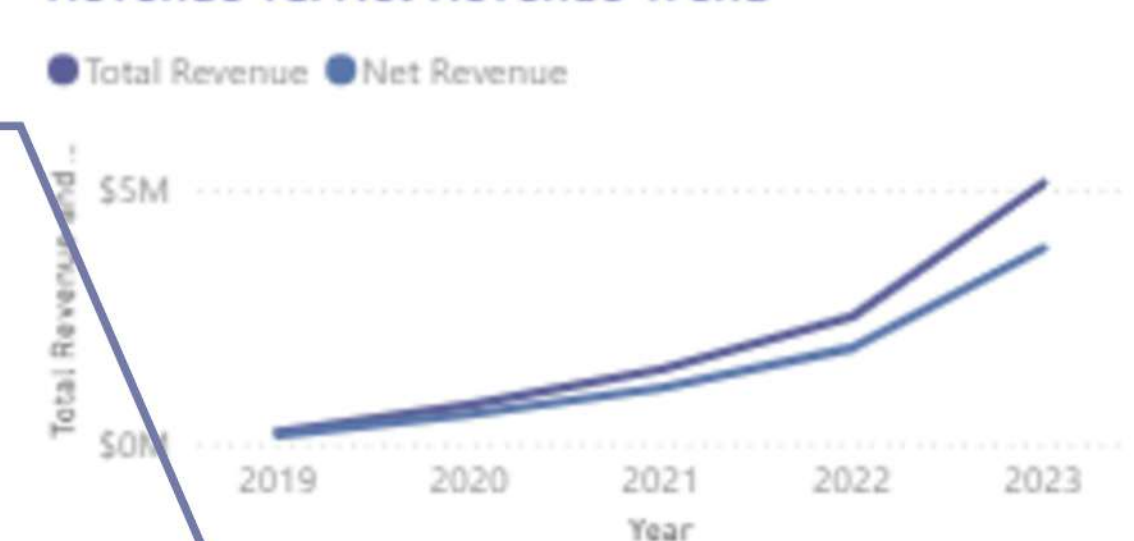
Revenue Distribution by Year



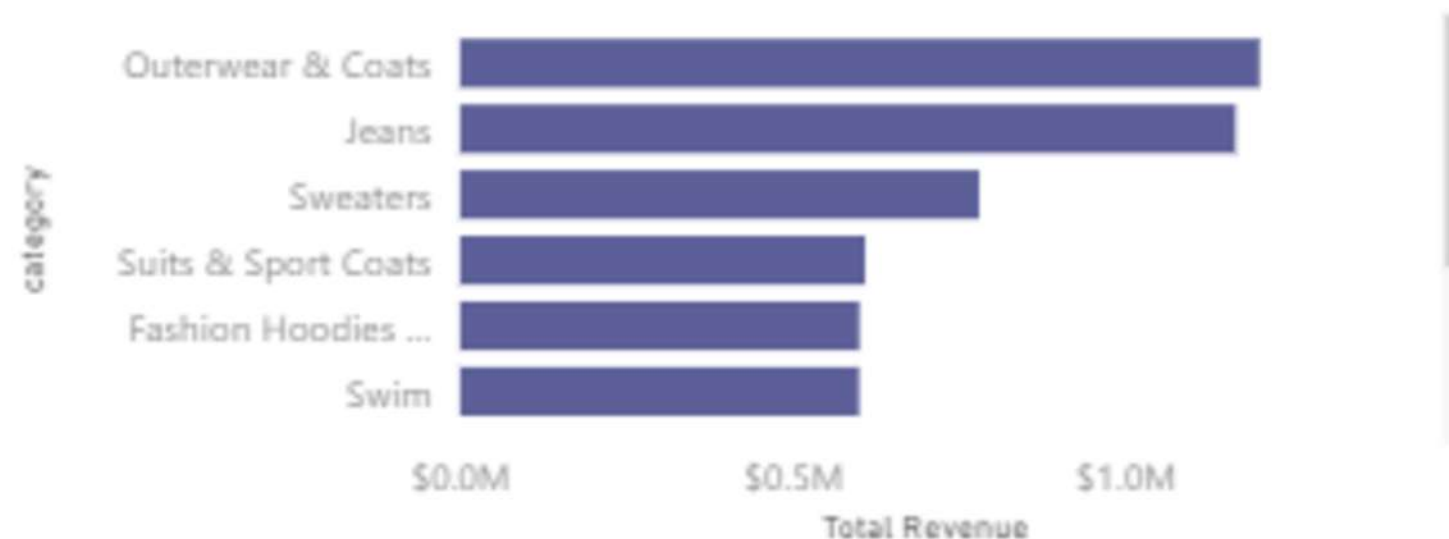
Yearly Growth in Sessions and Orders



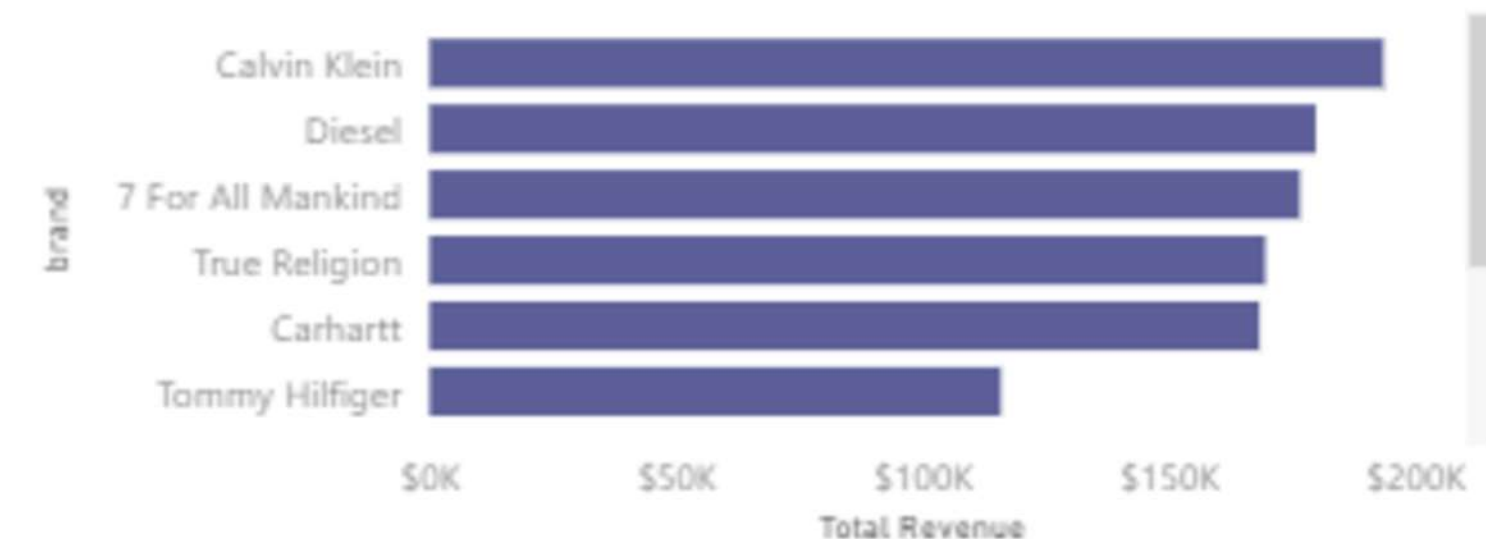
Revenue vs. Net Revenue Trend



Top 10 Revenue-Generating Categories



Best-Performing Brands



Sessions vs Orders: Growth That Never Reaches the Customer

Insight: Orders are growing faster than website sessions, suggesting improved efficiency. BUT 14.8% of all orders get cancelled internally. This means the growth visible on charts never reaches the customer, turning operational inefficiency into a direct revenue loss.

Why it matters: Marketing and conversion improvements are meaningless if nearly 1 in 6 orders is cancelled due to internal failures.

Action:

- Resolve stock accuracy issues.
- Improve picking/packing processes.
- Implement SLA monitoring and early alerts for fulfillment delays.

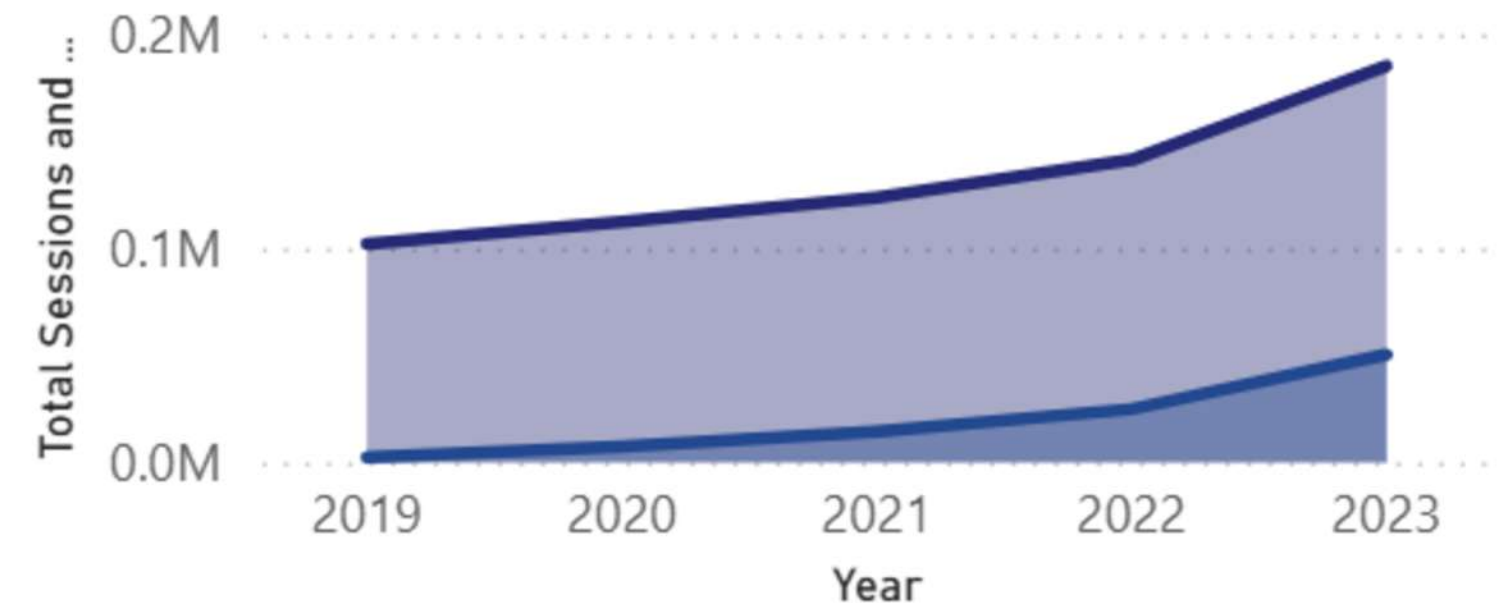
Impact: Cutting cancellation rate by half improves:

- Completed orders
- Revenue per Session
- Customer trust

→ creating real, not artificial, growth.

Yearly Growth in Sessions and Orders

● Total Sessions ● Total Orders



664K

Total Sessions

99K

Total Orders

\$15.1

RPS

Revenue Stability & Operational Risk

Insight: Revenue shows healthy year-over-year growth, but operational issues prevent the company from converting this growth into sustainable profit. The business faces an existential operational risk if returns and cancellations continue rising.

Why it matters: Revenue growth alone cannot sustain the business unless the underlying operational weaknesses are fixed.

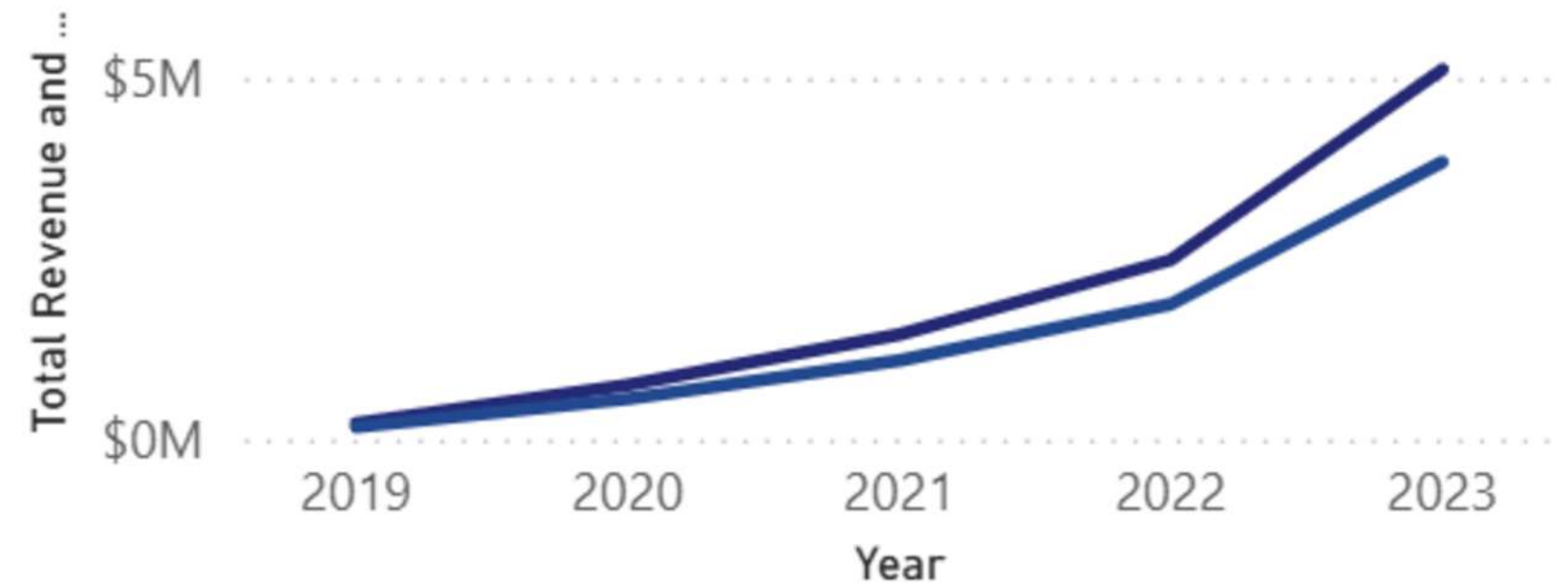
Action:

- Prioritize an operational turnaround: QC, fulfillment, supplier audit, and SKU cleanup.
- Freeze expansion initiatives until the internal issues are resolved.

Impact: Fixing operational foundations stabilizes revenue, protects profit margins, and restores financial health.

Revenue vs. Net Revenue Trend

● Total Revenue ● Net Revenue



\$10.03M
Total Revenue

\$7.53M
Net Revenue

\$2.7M
Net Profit

The Return Crisis & Toxic Products

Insight: Return rate is nearly double the global e-commerce benchmark (5%–7%).

Some products reach 100% return rate, making them “toxic products” that destroy profitability and brand reputation.

Why it matters: The company is not losing profit because of low demand — it is losing profit because the products themselves are failing the customer.

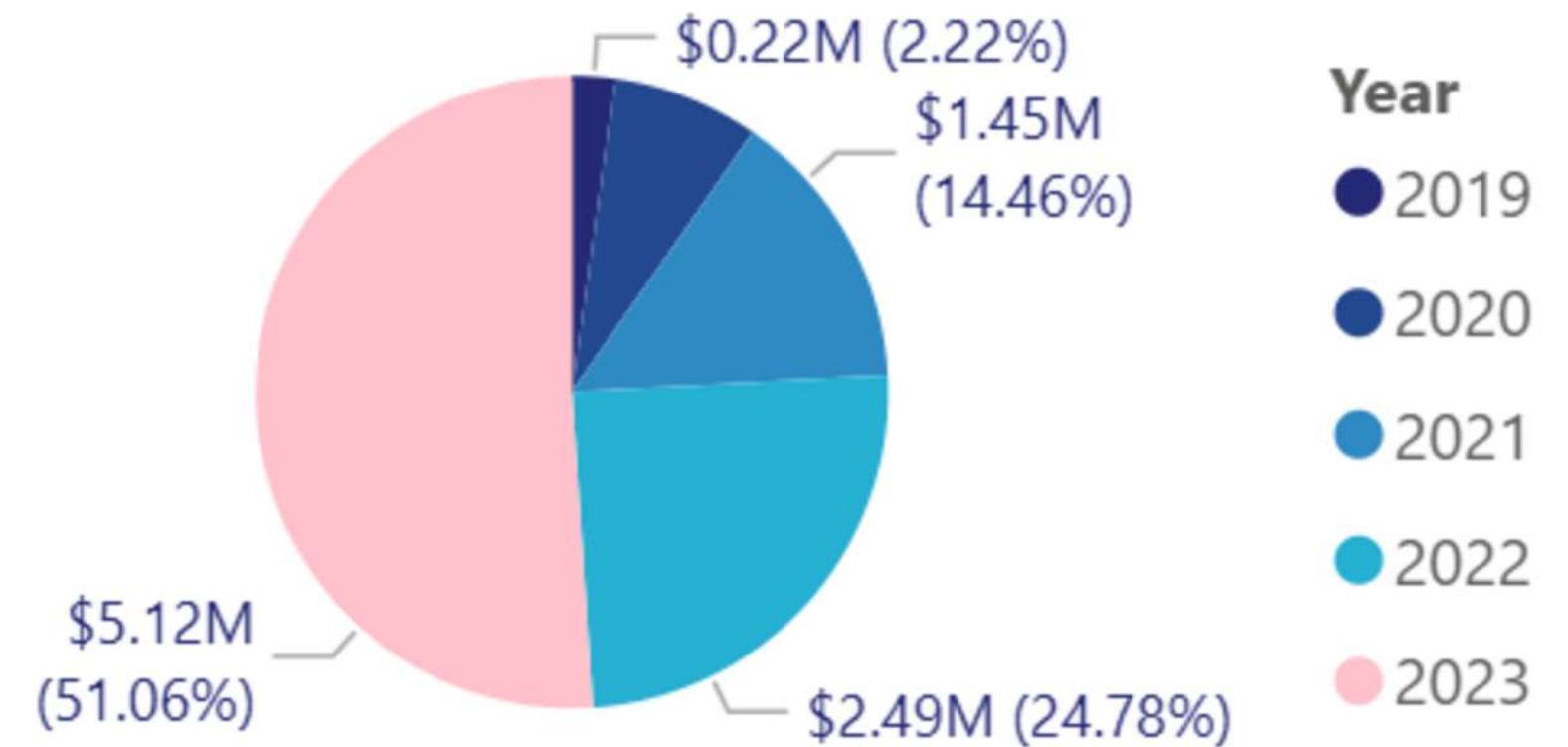
Action:

- Immediately discontinue products with IRR > 25%.
- Reinforce quality control and supplier accountability.
- Redesign return policy to discourage misuse.

Impact: Removing just 10–15 toxic products can reduce returns by 40%

→ unlocking almost \$1M in additional net revenue per year.

Revenue Distribution by Year



11.75%

Return Rate %

12K

Returned Orders

\$1.01M

Returned Revenue



Financial Performance Dashboard

Key Financial Metrics for Strategic Decision-Making

Time

Multiple selections

\$10.03M	\$7.53M	\$4.83M	\$2.7M	51.89%	99K	\$101.46	11.75%	12K	\$1.01M
Total Revenue	Net Revenue	Total COGS	Net Profit	Gross Margin %	Total Orders	AOV	Return Rate %	Returned Orders	Returned Revenue

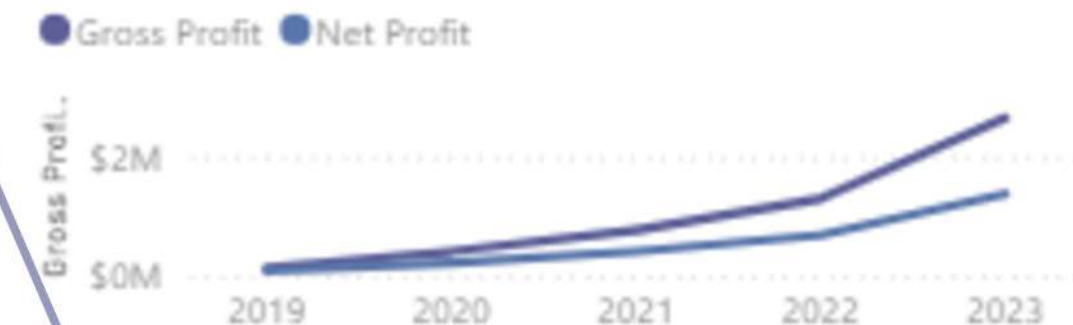
Revenue vs Net Revenue – Yearly Trend



Revenue vs COGS – Yearly Comparison



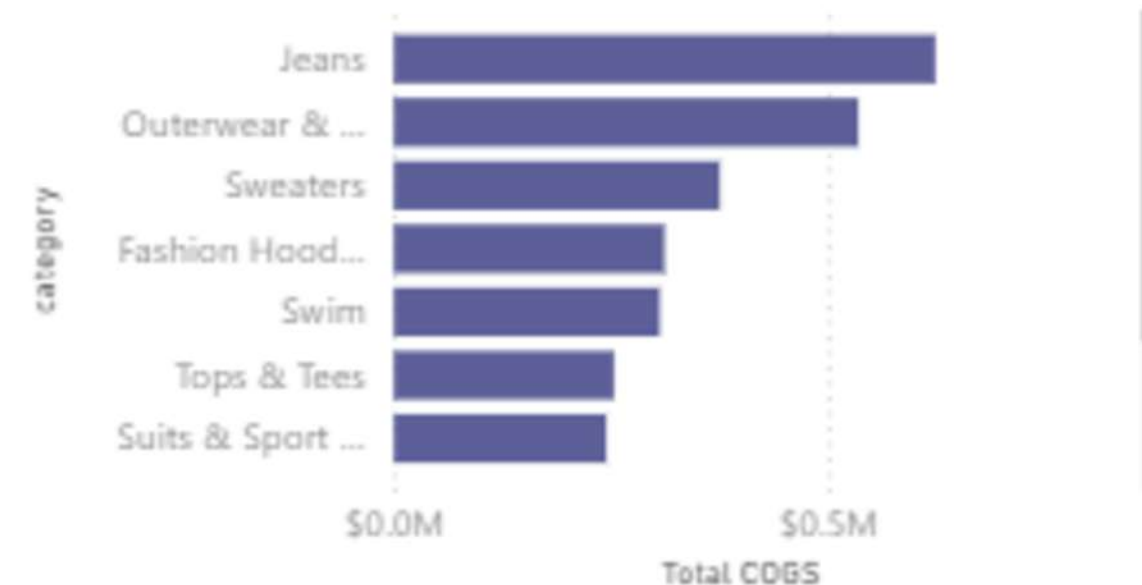
Profitability Trend (Gross vs Net Profit)



Top Products by Net Profit



COGS Breakdown by Category



High-Return Categories Analysis



Profit Contribution by Category



Revenue vs COGS

Insight: Revenue and COGS are moving closely together, leaving a very thin margin. This indicates that the company's cost structure is too high relative to the revenue generated, which prevents meaningful profitability even before accounting for returns or cancellations.

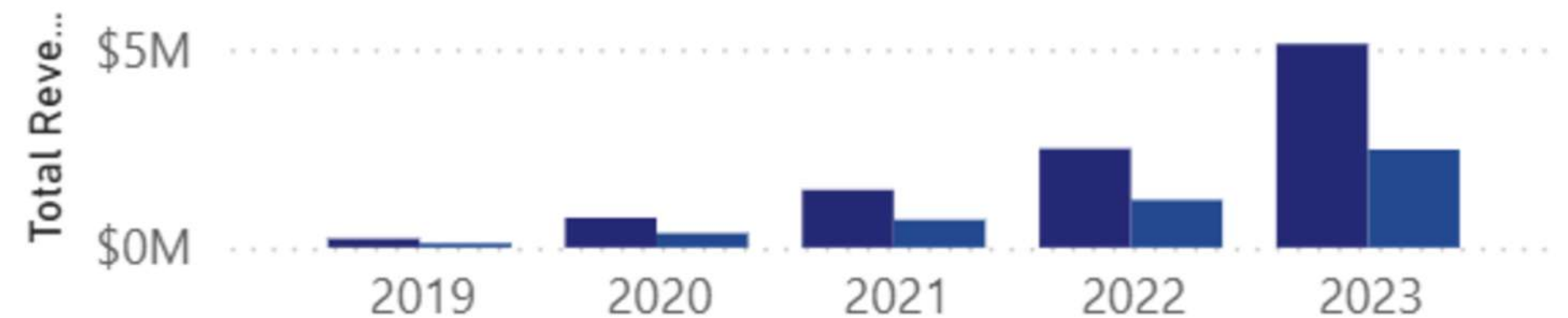
Why it matters: When COGS consumes most of the revenue, the business becomes financially fragile. Any operational issue—such as returns, cancellations, or shipment failures—immediately pushes the company into a loss position. This cost-revenue imbalance is a foundational warning sign of structural inefficiency.

Action: Audit product sourcing, renegotiate supplier contracts, and eliminate low-margin or high-defect products. Prioritize SKUs with reliable quality, lower return rates, and healthier margins to widen the gap between revenue and COGS.

Impact: Reducing COGS or improving margin structure will create financial breathing room, strengthen cash flow, and reduce the company's exposure to risks caused by operational failures. A healthier revenue-COGS gap is the first step toward stabilizing the business.

Revenue vs COGS – Yearly Comparison

● Total Revenue ● Total COGS



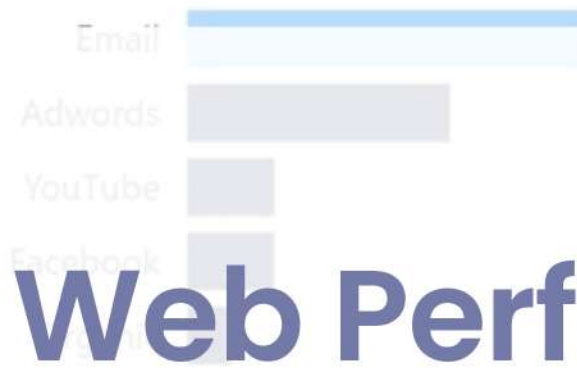
\$4.83M

Total COGS



Web performance Analysis

Where Our Traffic Really Comes From



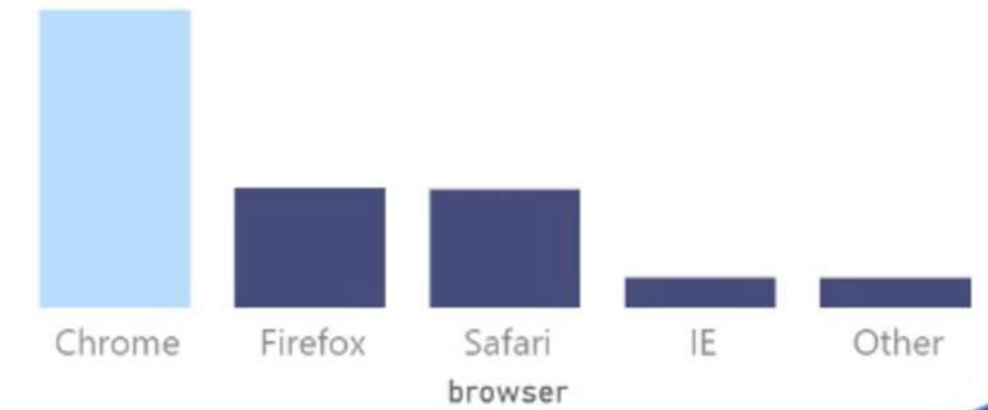
Bounce Rate: The First 10 Seconds That Matter



Do Users Love Coming Back?



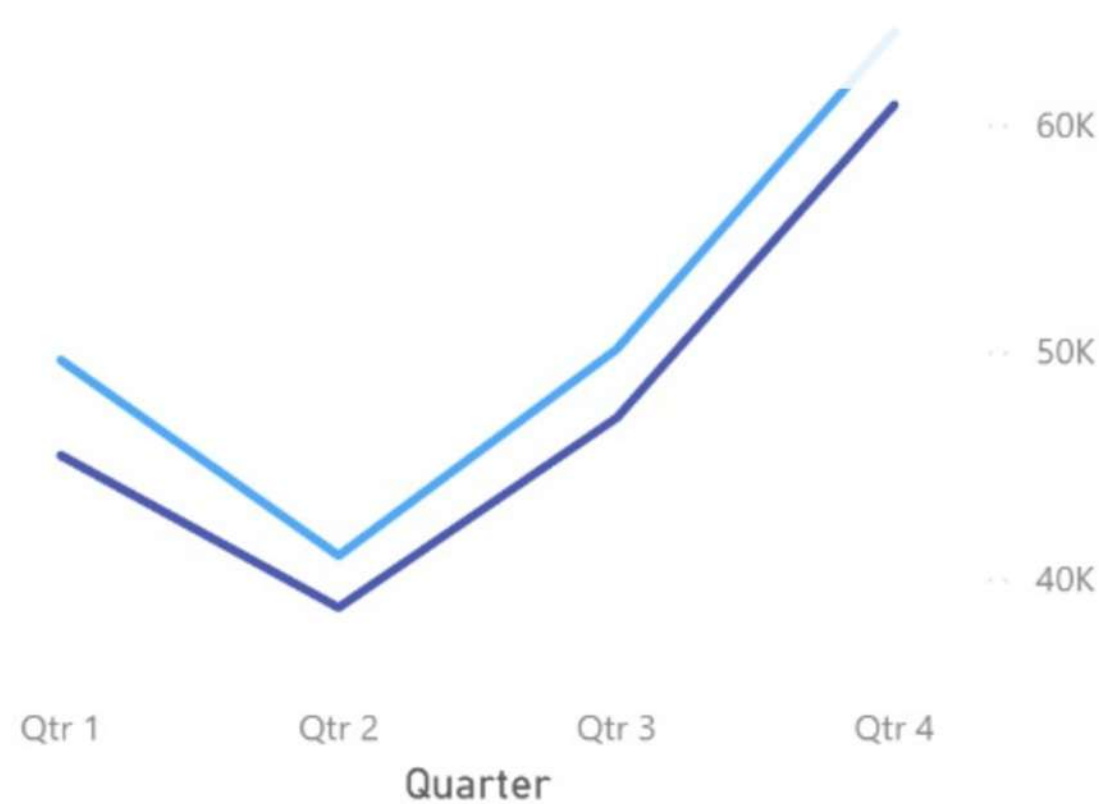
Chrome Leads the Way... Others Trail Behind



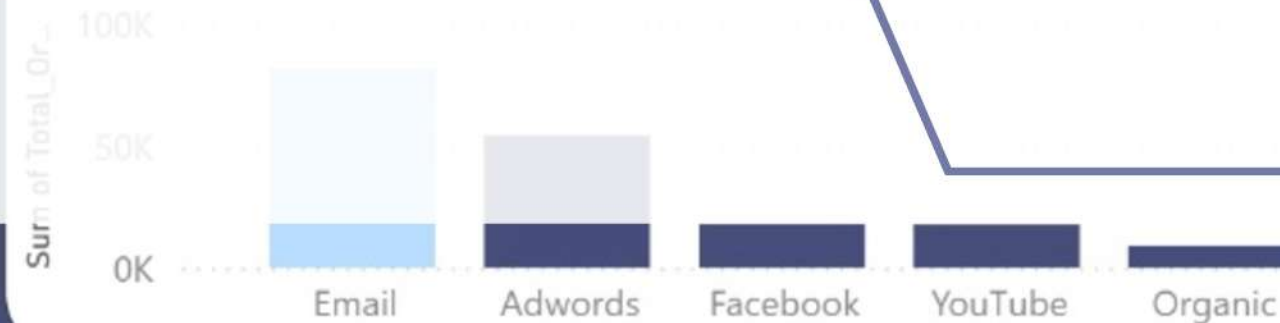
Web Performance Analysis

Q4: The Turning Point for Engagement

Sum of total_events Sum of unique_users

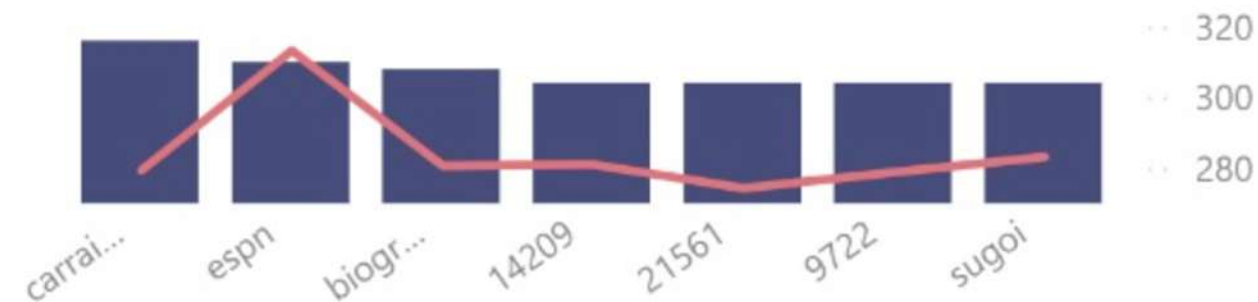


Where Our Real Orders Come From

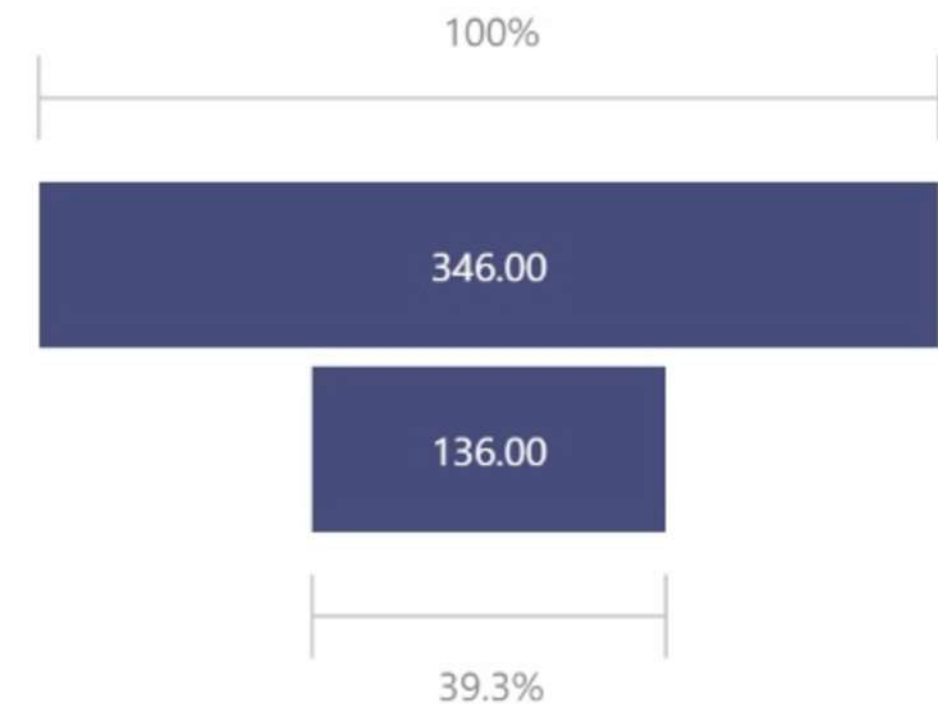


Which Pages Capture Attention?

Sum of total_sessions Sum of avg_duration_seconds



How Views Translate Into Purchases



1. Email Is the Strongest Revenue Channel

Insight: Email drives both the highest traffic and the highest number of real orders.

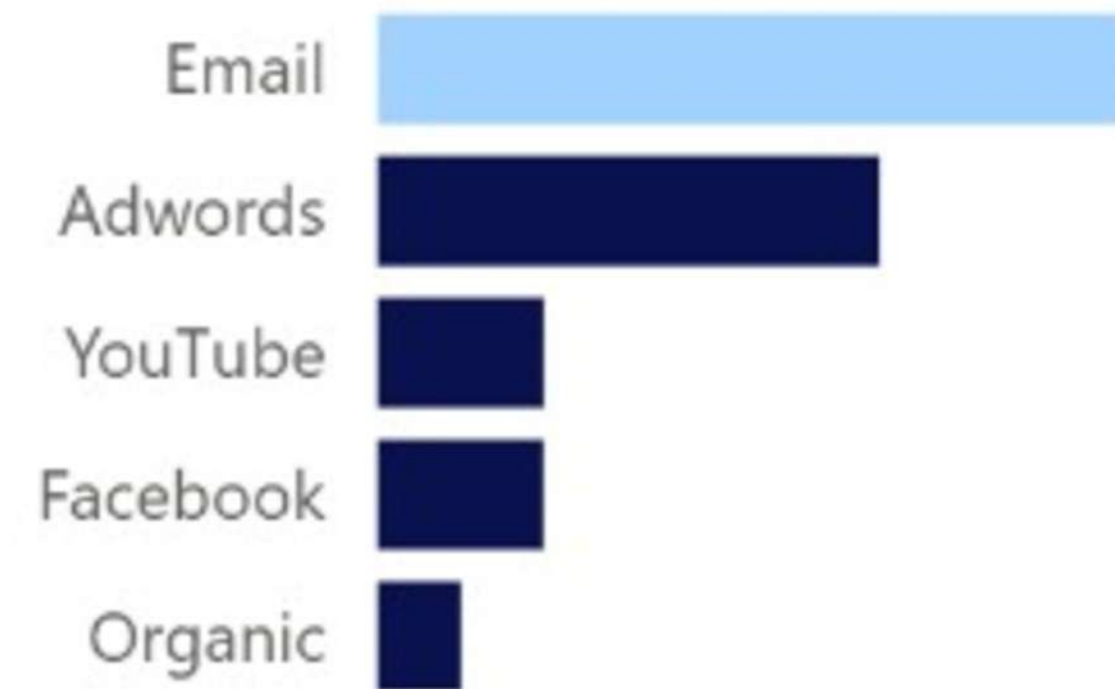
Why it matters: Not all traffic converts but email does.

Action: Invest more in segmented email campaigns.

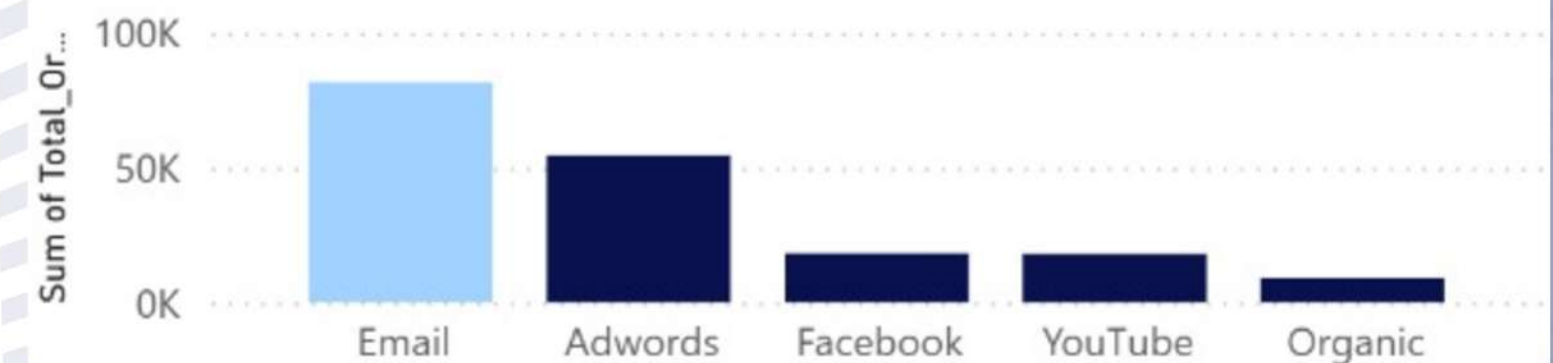
Impact: Higher ROAS and more purchases with the same budget.

Real Case: Shopify brands often get 25–35% of total revenue from automated email flows.

Where Our Traffic Really Comes From



Where Our Real Orders Come From



2. Q4 Is the Engagement Turning Point

Insight: Both events and unique users spike sharply in Q4.

Why it matters: Something worked exceptionally well campaign, content, or seasonality.

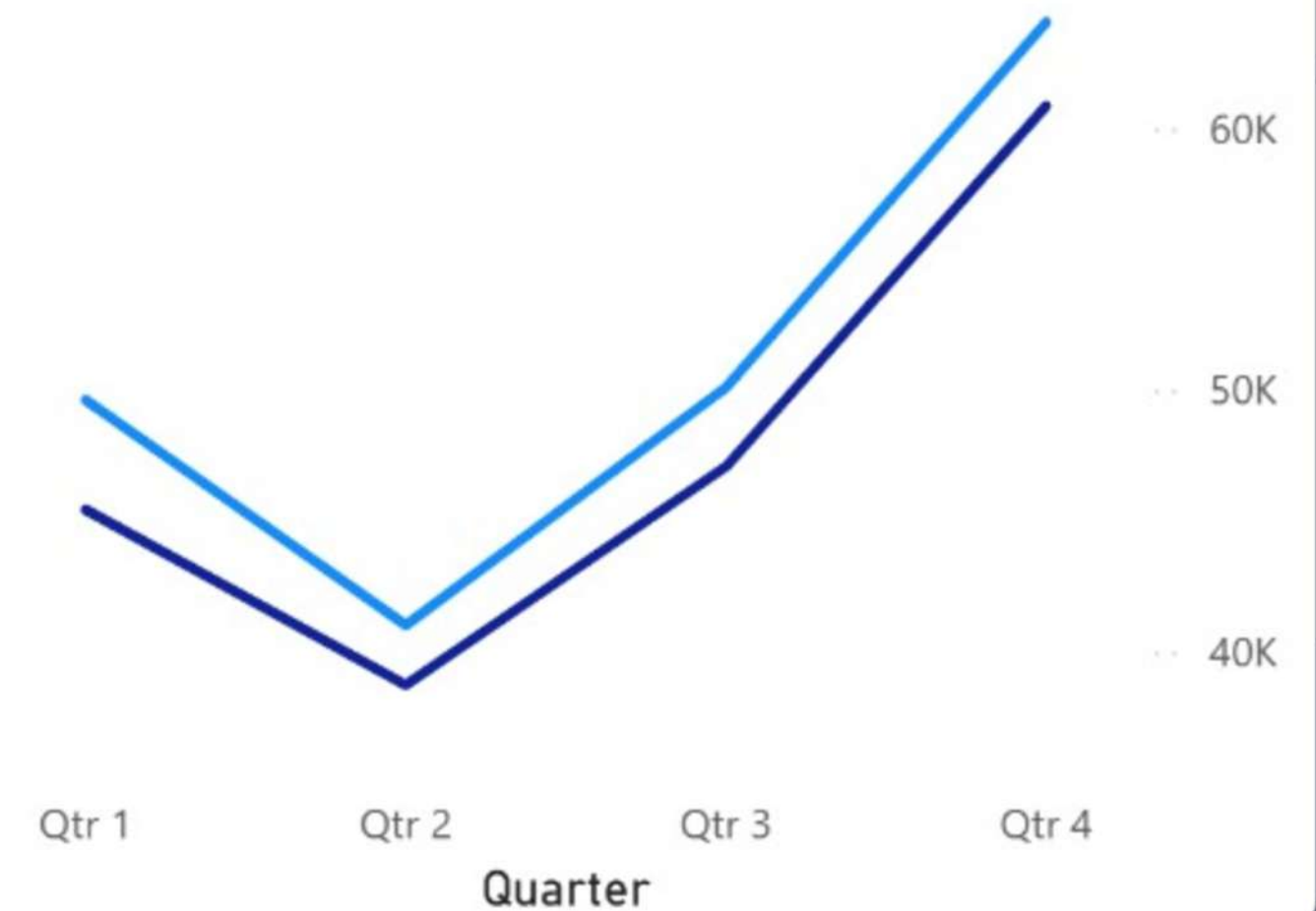
Action: Repeat Q4 strategies in weaker quarters.

Impact: Stable engagement and predictable growth.

Real Case: Retailers use Q4-winning strategies year-round to boost sales.

Q4: The Turning Point for Engagement

● Sum of total_events ● Sum of unique_users



3. Users Come Back but Retention Can Be Higher

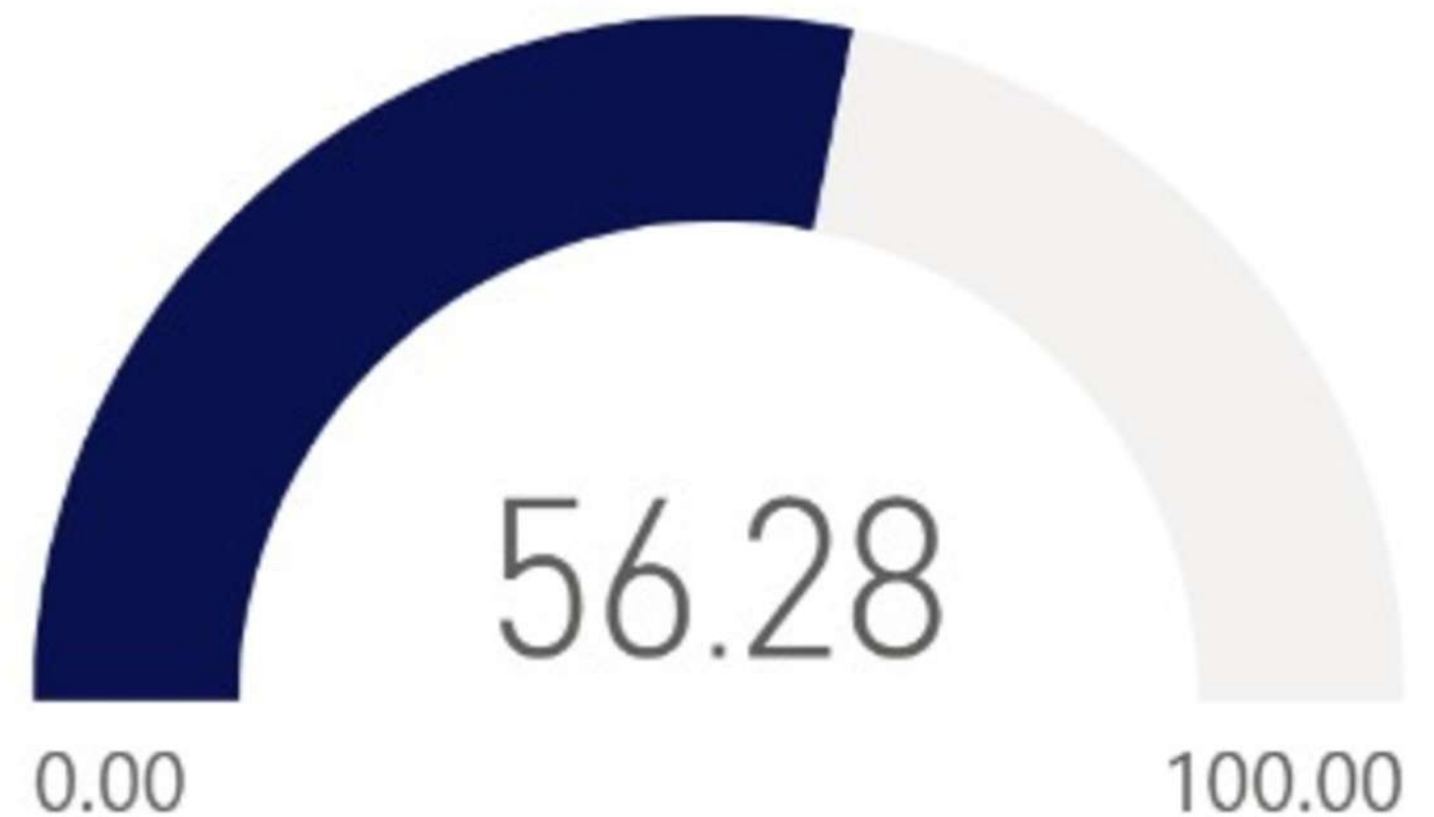
Insight: Return rate is moderate (~56%), showing users like the platform but there's room to increase loyalty.

Action: Push personalized content, reminders, and loyalty programs.

Impact: Higher lifetime value and lower acquisition costs.

Real Case: Netflix boosts retention massively through personalized recommendations.

Do Users Love Coming Back?



4. Page Performance Isn't Equal Some Pages Grab Attention

Insight: Certain pages generate more sessions and longer duration.

Action: Copy the structure of high-performing pages and fix low-engagement ones.

Impact: More time on site → higher chance of conversion.

Real Case: News sites reuse top-performing layouts to increase engagement across all pages.





COO Analysis

How Much Each Customer
Is Really Worth (AOV)

52.69
COO Analysis

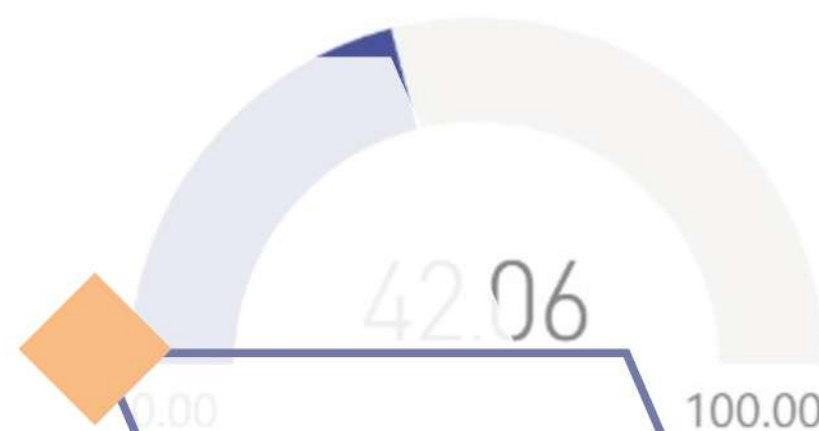
From Browsing to Adding: Are
Users Interested in Our
Products?

product to cart rate



How Many Users Complete
the Journey?

cart to purchase

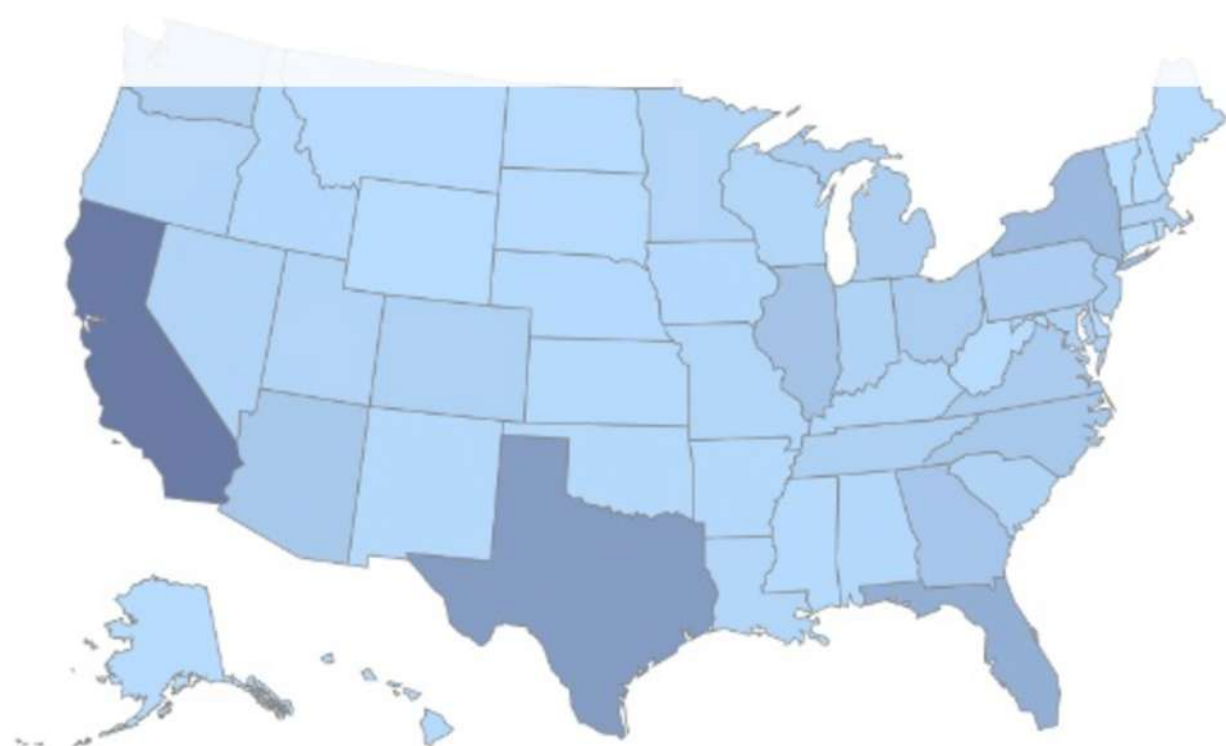


How Deep Do Users Explore
the Website?

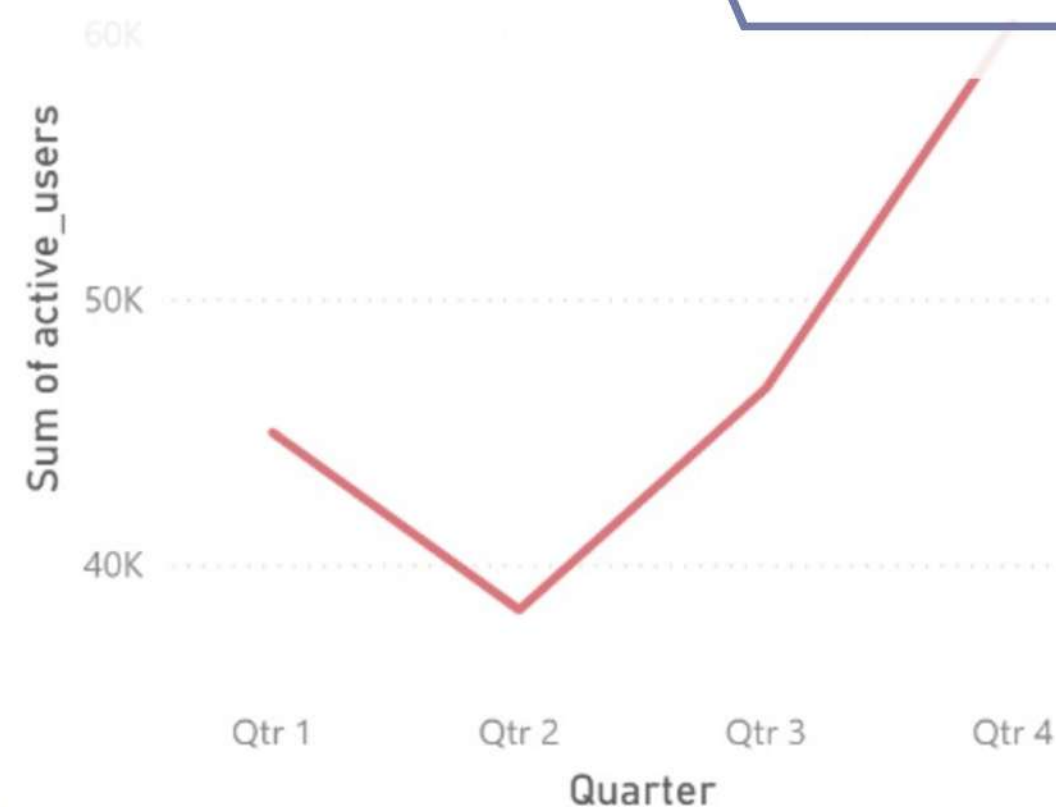
Average of pages_visited

7.33

Where Our Activity Is Concentrated Across the
U.S



Quarterly Growth in Active Users



Customer Value Distribution Based on
Recency



1. Users Show High Interest but Drop Before Purchase

Insight: Product-to-Cart rate is strong (63%), but Cart-to-Purchase drops to only 42%.

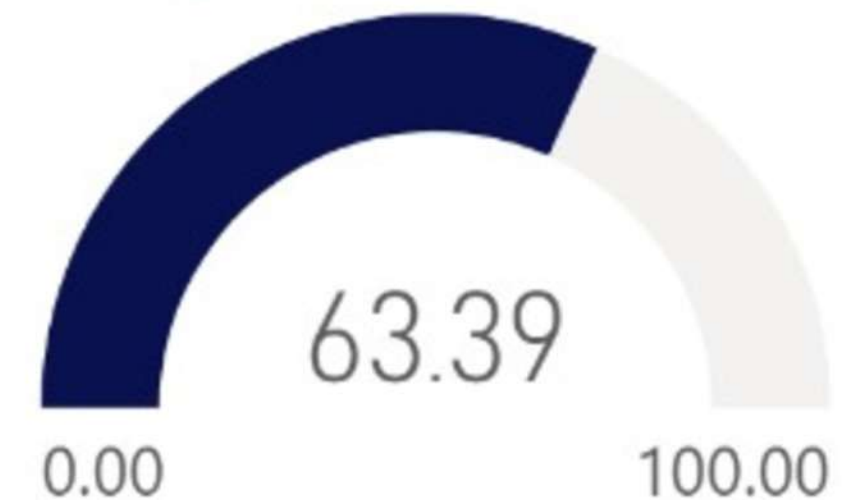
Meaning: Users like the products but hesitate at the end of the journey.

Action: Improve checkout UX, reduce steps, add trust signals.

RealCase: Adidas increased conversions by simplifying the checkout flow.

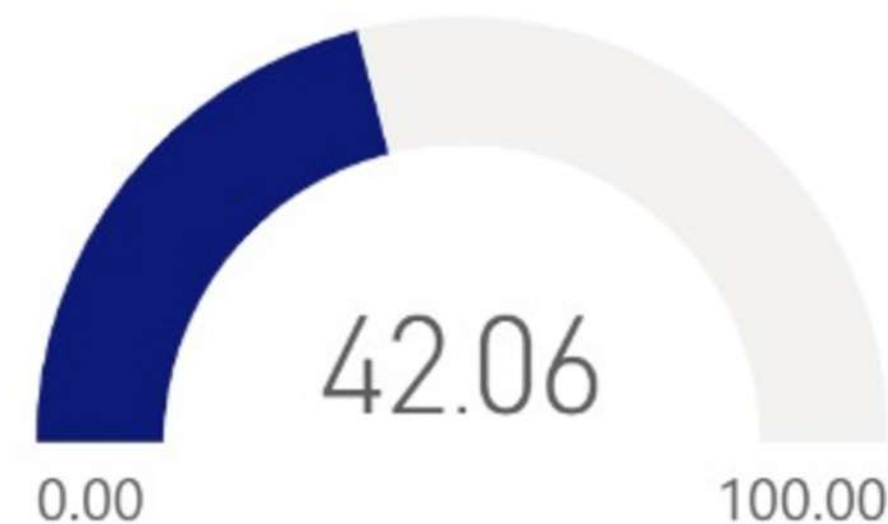
From Browsing to Adding: Are Users Interested in Our Products?

product to cart rate



How Many Users Complete the Journey?

cart to purchase



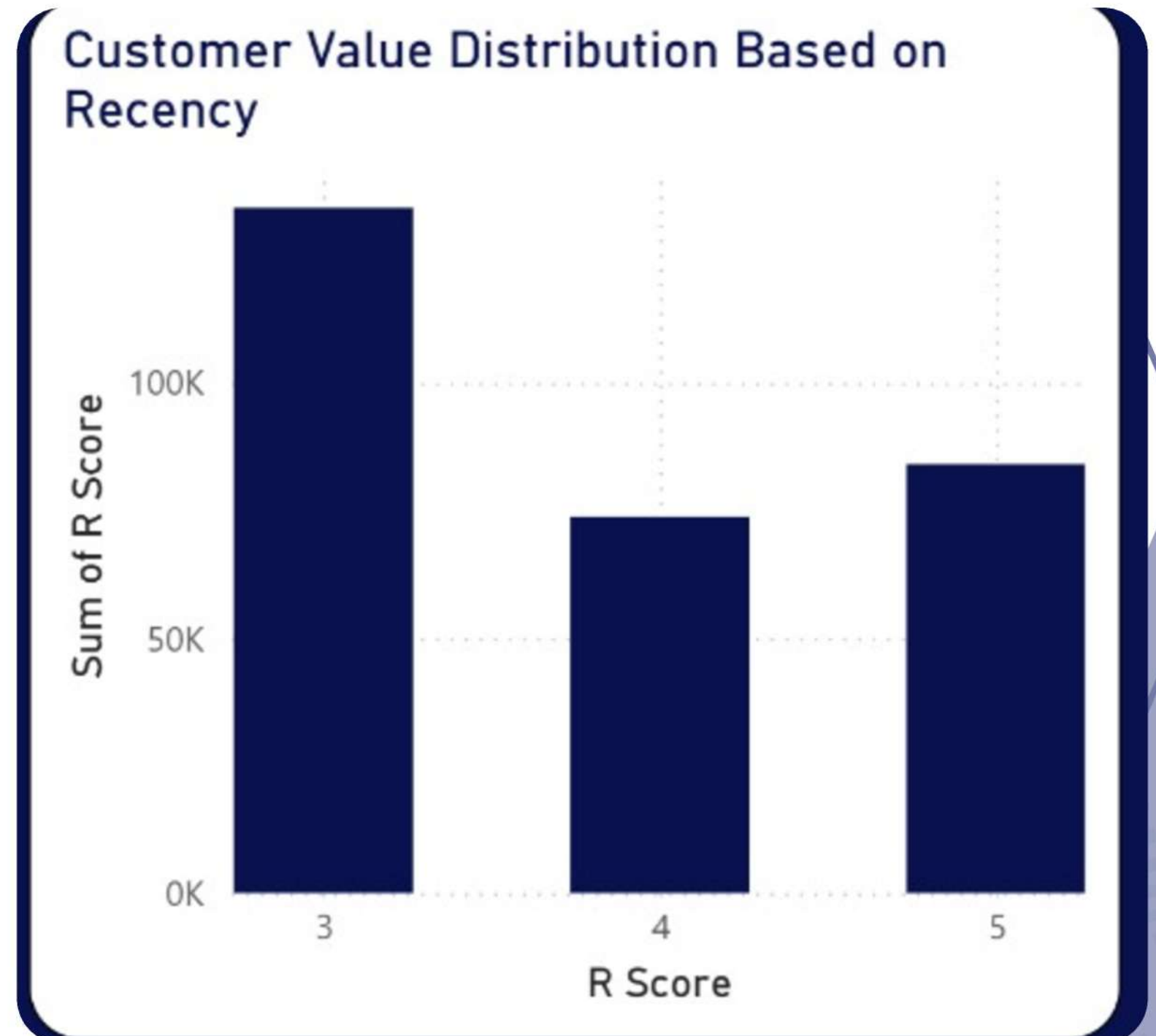
4. Customer Recency Shows Peaks Not a Flat Customer Base

Insight: The recency distribution is uneven many users fall in R=3 and R=5.

Meaning: Some customers are active, some are drifting away.

Action: Launch reactivation campaigns for R3 segments.

Real Case: Starbucks re-engaged inactive members via personalized app offers.





17-01-2024

Product Name

- ☐ Men's The North Face Khumbu Fleece Jacket Deep Water ...
- ☐ North Face Women's Windwall 1 Jacket
- ☐ NORTHFACE W OSITO JACKET Style# AAHY
- ☐ The North Face Apex Bionic Jacket - Men's
- ☐ The North Face Apex Bionic Men's Soft Shell Ski Jacket 2013
- ☒ The North Face Apex Bionic Soft Shell Jacket - Men's
- ☐ The North Face Apex Bionic Soft Shell Jacket - Women's
- ☐ The North Face Bones Beanie

Product Analysis

Product Brand

north

☒ The North Face


2/11/2020
Launch Date


\$19.87K
Total Revenue


22.0
Total Quantity Sold


52.80%
Profit Margin %


2.0
Total Returns

8.33%
Return Rate %

Monthly Trend For Total Orders



Monthly Trend For Total Returns

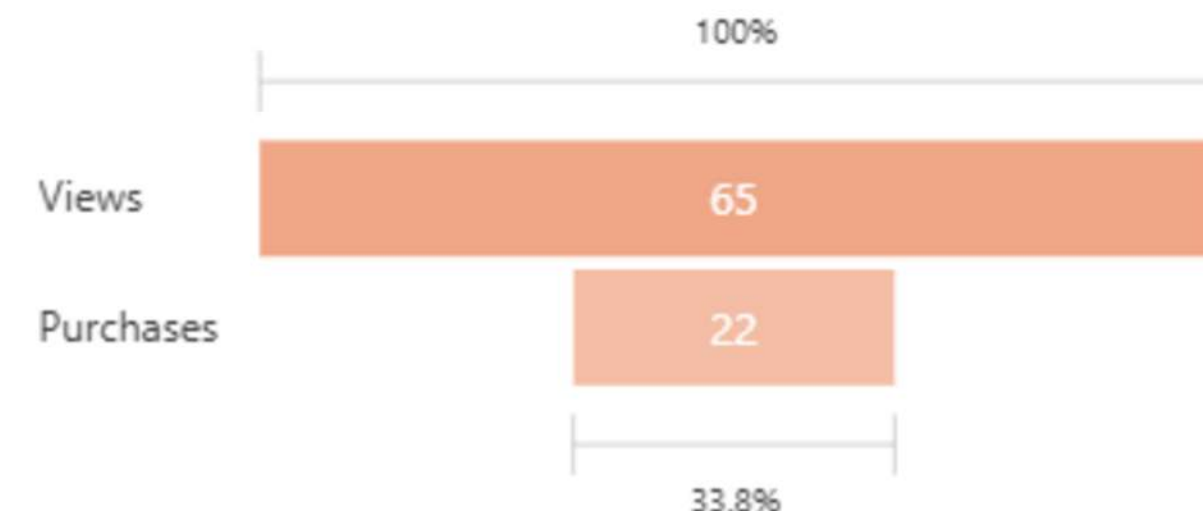


% Of Sales By Department



Department
● Men

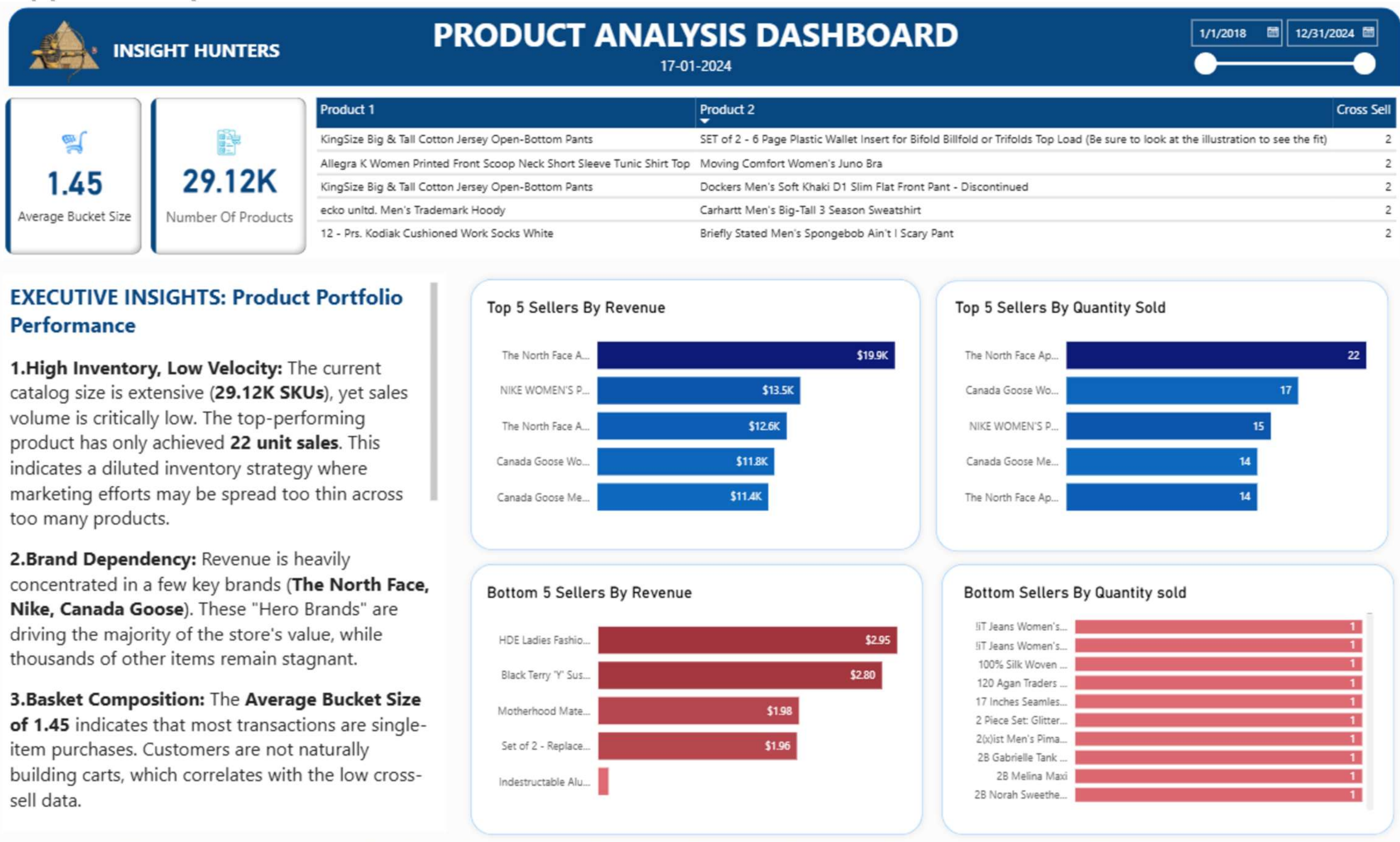
View-to-Purchase Conversion Funnel



1. Interactive dashboard



2. Product performance breakdown



1.High Inventory, Low Velocity:

Insight:

The current catalog size is extensive (**29.12K SKUs**), yet sales volume is critically low. The top-performing product has only achieved **22 unit sales**. This indicates a diluted inventory strategy where marketing efforts may be spread too thin across too many products.

Recommendation:

1. Rationalize the Portfolio. Drastically cut underperforming SKUs. Reallocate marketing budget to focus exclusively on "Hero Products" to drive velocity instead of funding a diluted catalog.
2. Implement Quantity Discounts. Introduce "Buy More, Save More" mechanics for low-value items to incentivize bulk purchases and directly combat single-unit order behavior.



29.12K

Number Of Products

Top 5 Sellers By Quantity Sold

The North Face Ap...

22

Canada Goose Wo...

17

NIKE WOMEN'S P...

15

Canada Goose Me...

14

The North Face Ap...

14

2.Low Basket Depth & Weak Cross-Sell

Product 1	Product 2	Cross Sell
KingSize Big & Tall Cotton Jersey Open-Bottom Pants	SET of 2 - 6 Page Plastic Wallet Insert for Bifold Billfold or Trifolds Top Load (Be sure to look at the illustration to see the fit)	2
Allegra K Women Printed Front Scoop Neck Short Sleeve Tunic Shirt Top	Moving Comfort Women's Juno Bra	2
KingSize Big & Tall Cotton Jersey Open-Bottom Pants	Dockers Men's Soft Khaki D1 Slim Flat Front Pant - Discontinued	2
ecko unltd. Men's Trademark Hoody	Carhartt Men's Big-Tall 3 Season Sweatshirt	2
12 - Prs. Kodiak Cushioned Work Socks White	Briefly Stated Men's Spongebob Ain't I Scary Pant	2

Insight:

The Average Bucket Size of **1.45** and negligible pair data (**Max freq: 2**) suggest a fundamental gap in the user experience: customers are likely not being prompted to buy more. The lack of correlation indicates that the low basket size is not due to poor product matching, but rather the complete absence of a visible cross-sell strategy on the site.

Recommendation:

Implement Visibility Before Optimization. You cannot optimize what doesn't exist. The immediate priority is to deploy basic cross-sell mechanics (e.g., "Complete the Look" or "You May Also Like") on product pages. You must force visibility of secondary items to verify if the low basket size is a behavioral issue or simply a lack of opportunity.



1.45

Average Bucket Size

3.The Dead Stock Problem

Insight:

The Bottom Sellers analysis reveals a massive volume of products that have flatlined: **294** products have never been sold, and **1335** have only sold a single unit. This confirms the catalog is critically diluted; a significant portion of inventory is taking up space without generating velocity or value.

Recommendation:

Freeze Expansion & Revive Inventory. Shift strategy immediately from adding new products to marketing these existing, low-visibility items. You must determine if these products are "dead stock" or simply "hidden." Run a dedicated revival campaign for these SKUs; if they still don't move, mark them for liquidation to stop the resource drain.

Bottom Sellers By Quantity sold



!iT Jeans Women's...	1
!iT Jeans Women's...	1
100% Silk Woven ...	1
120 Agan Traders ...	1
17 Inches Seamles...	1
2 Piece Set: Glitter...	1
2(x)ist Men's Pima...	1
2B Gabrielle Tank ...	1
2B Melina Maxi	1
2B Norah Sweethe...	1

Age

12

70

Time

All

INSIGHT HUNTERS

8.1M

Net Revenue

1.1M

Value Leakage: Returns

1.6M

Value Leakage: Cancellations

26.66%

Overall CVR

\$52.69

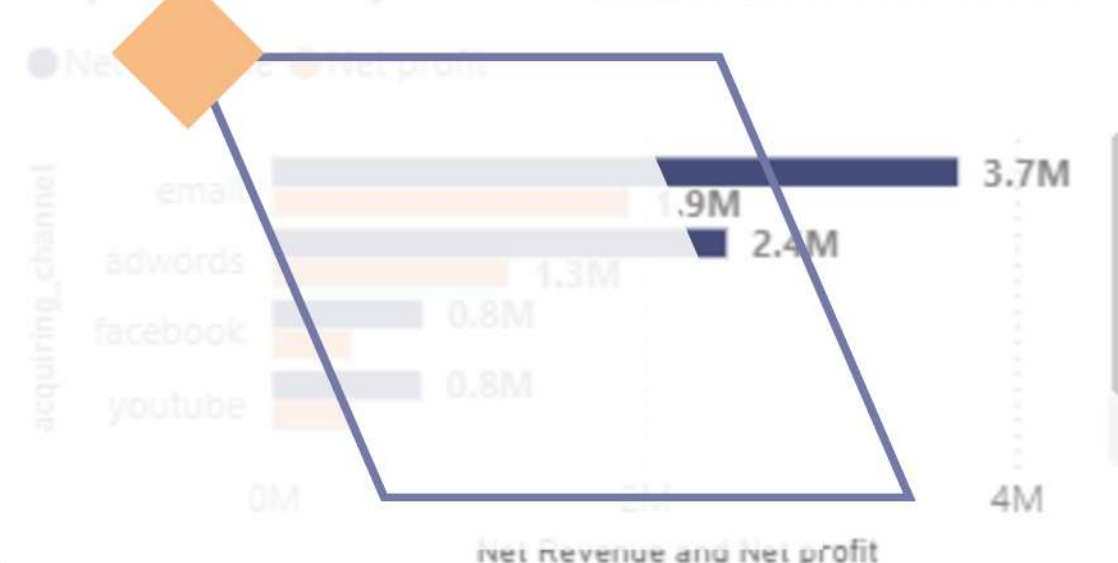
Customer Value (Net Profit)

Marketing Analysis

ADV Trend: Value Erosion Over Time



Acquisition Quality: Which Channels Drive Real Profit?



Tactical Volume: Orders by Channel & Browser

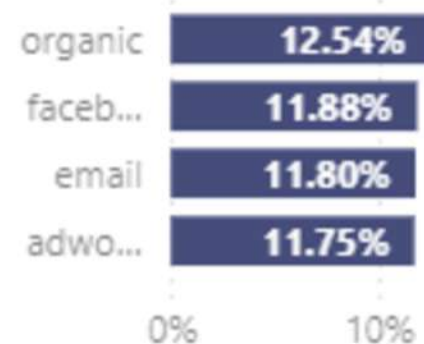
Press the bars



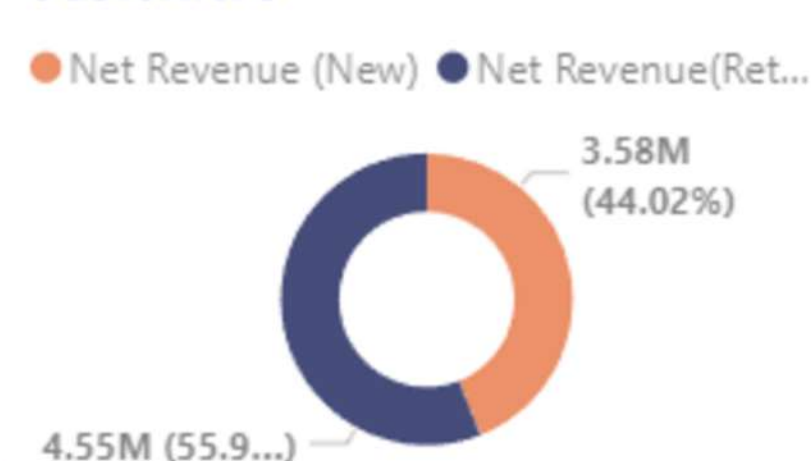
Retention Evidence: The Life-time Purchase Cycle

cohort_month	0	1	2	3	4	5
2019-01-01	100.00					
2019-02-01	100.00			5.88	5.88	
2019-03-01	100.00	1.33		1.33	1.33	1.33
2019-04-01	100.00	1.03	1.03	1.03	2.06	
2019-05-01	100.00	0.69	0.69	2.08	1.39	1.39
2019-06-01	100.00	0.58	1.75	1.17	1.17	1.75

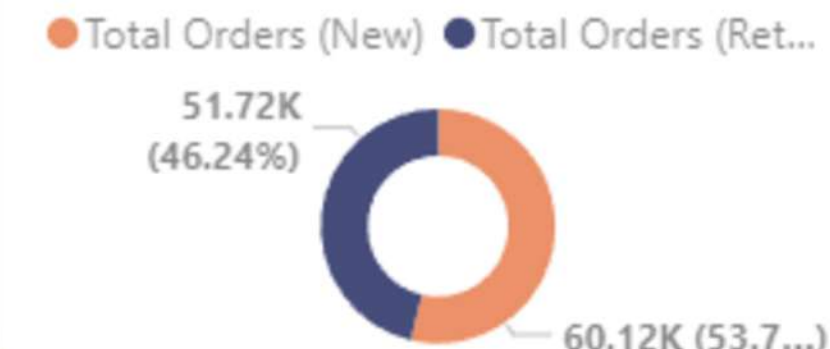
Acquisition Risk: Item Return Rate by Acquiring Channel



Revenue Mix: Value of Returning Customers



Volume Mix: Operational Load (New vs. Returning)



1. Profit vs. Revenue: Where Our Budget Fails

Insight: Our acquisition is **inefficient**. Facebook and YouTube deliver **only 0.8M Net Revenue each**, despite the cost. Our profit margin on Email is high, indicating low-cost retention is saving us.

Why it matters: The illusion of volume: We are spending valuable budget on channels that bring low Net Profit (low-quality traffic). Every dollar spent here could be better invested in proven profitable channels.

Action: Strategic Fund Reallocation: Immediately transfer funds from low-profit channels (Facebook/YouTube) to scale the proven high-profit engines: Email and Adwords.



Impact: Optimize ROI. By chasing Net Profit, not just volume, we ensure budget focuses on sustainable, high-margin customers.

2. Geographic Focus: Cease Servicing High-Risk, Low-Value Areas

Insight: Our geographical spread is inefficient. The maps show that a high volume of operational risk (high IRR) is concentrated in specific "Hot Zones" (as seen on the CX Map) while revenue is concentrated in others.

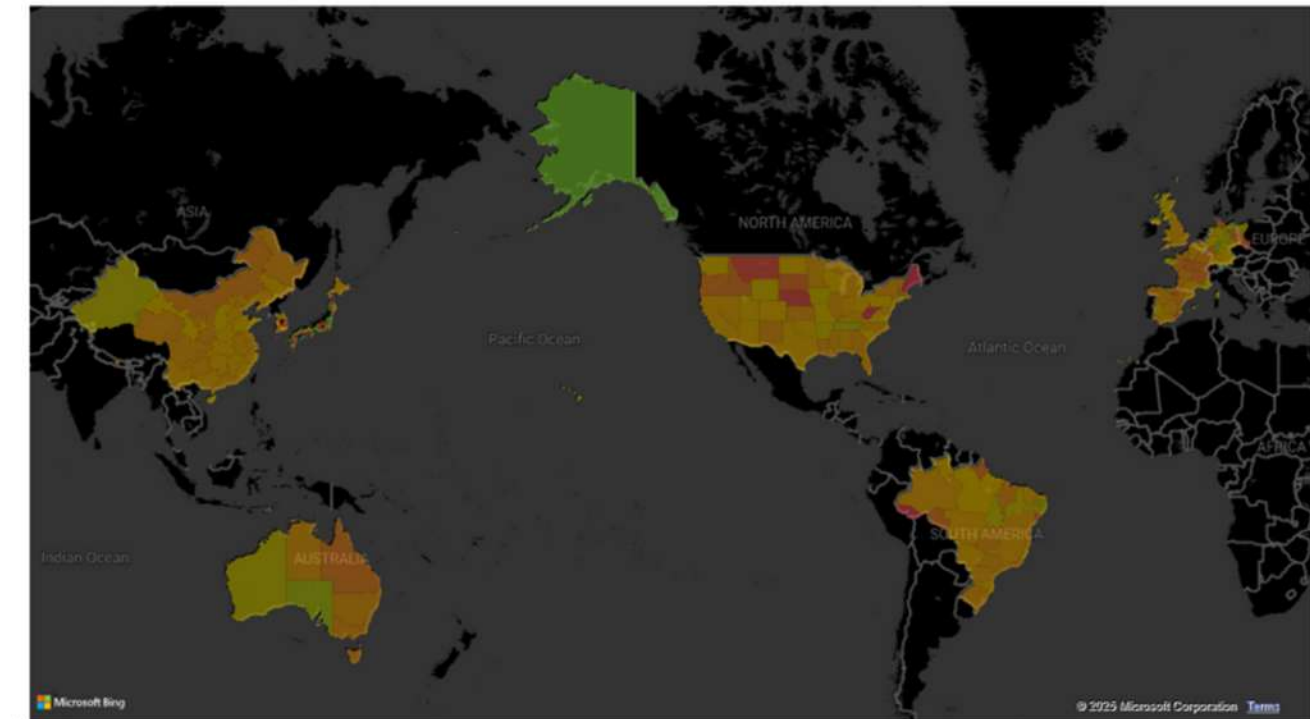
Why it matters: Wasted Resources: We are draining resources (time, shipping cost, QA effort) servicing low-value, high-risk areas. We must shift resources to protect and grow profitable markets.

Action: Implement Regional Prioritization (Geographic Focus): Immediately de-prioritize marketing spend in the top 10 "Riskiest Cities" (Highest IRR) and reallocate those funds solely to the "Top 10 Cities Driving Net Revenue."

Hot Zones: Top 10 Cities for Return Risk

state	Quality Alert: Item Return Rate
Kagawa	100.00%
Nagano	31.58%
Maine	26.00%
West Virginia	25.00%
Aomori	22.22%
Gunma	22.22%
New Hampshire	21.88%
Acre	20.97%
Nebraska	19.21%
Jeju Special Self-Governing Province	18.42%
Montana	18.42%

The Pain Map: Item Return Rate % by Geography
Dark Red indicates IRR > 15% (Critical Level)



Impact: Optimize Profit Per Order: We maximize returns on marketing investment and reduce operational complexity in areas proven to be logistically challenging or customer-service intensive.

3. Product Portfolio Health: Eliminating Toxic & Dead Inventory

Insight: We must eliminate the dead weight. Our inventory contains items with a 100% return rate (financial drain) and numerous items with zero sales (wasting warehouse space and tying up capital).

Why it matters: Toxicity and Inefficiency: Products with 100% returns are actively destroying customer trust and wasting fulfillment efforts. Zero-sale items inflate our cost-to-serve and depress the actual inventory value.

Action: Implement Immediate Product Cleanse:

1. **De-list Toxic SKUs:** Immediately remove all products with an actual or near 100% return rate.
2. **Liquidate Dead Inventory:** Rapidly liquidate or discard all products that have generated zero sales within the last 12 months to free up working capital.

The "Kill List": All Toxic Products

Products with 100% Return Rate need immediate review.

name	Quality Al...
Allegra K Ladies Black Fashion Fingerless Ribbing Short Gloves	100.00%
Allegra K Ladies Double Breast Long Sleeve Spring Mini Dress Black L	100.00%
Allegra K Ladies Front Kangaroo Pocket Long Sleeve Pullover Fall Hoodie Coffee Color S	100.00%
Allegra K Ladies Long Sleeve Front Pockets Letter Prints Drawstring Hood Coat Red XS	100.00%
Allegra K Lady Boat Neck Korea Style Black White Striped Shirt M	100.00%
Allegra K Woman Zipper Back Tank Dress Yellow XS w a Waist Belt	100.00%
Allegra K Women Ruffled Single Shoulder Sleeveless Mini Dress Black XS	100.00%
Anna-Kaci Small Fit Black Swan Ballerina Inspired Multi-Layered Tutu Short Skirt	100.00%
Anna-Kaci Small Fit Blue Cats Paws High Waisted Slim Leg Ankle Length Leggings	100.00%
Asymmetrical One Shoulder Beaded One Piece Striped Swimsuit Bathing Suit Swimwear	100.00%
b.tempt'd by Wacoal Women's Full Bloom Underwire Bra	100.00%
BCBGMAXAZRIA Women's Duran Strapless Cocktail Dress	100.00%
Beauty Night Chelsea Black Bra and Thong Set BN6045	100.00%
BLANK NYC Women's Slip Slide Shorts	100.00%
Brave Soul Ladies/Womens Stripe Pattern Summer Play Suit	100.00%
Calvin Klein Women's Pick Stitch Jacket	100.00%
Carhartt Men's Quick Duck Woodward Active Jacket	100.00%
CEP Women's Compression Ski Socks	100.00%
Classic By Palmland Men's Pocket Pinup Polo Shirt	100.00%

Impact: Optimize Cash Flow & Quality:

1. **Quality Control:** Immediately stop the return bleed and protect brand reputation.
2. **Financial Efficiency:** Free up capital and warehouse space for reinvestment in proven high-profit, low-risk products.



Customer Experience analysis (Friction & Pain)

Age

12

70

Time

All



INSIGHT HUNTERS

Marketing

Marketing Map

Customer

CX Map

Customer Experience Analysis

11.79%

Quality Alert: Item Return Rate

63.4%

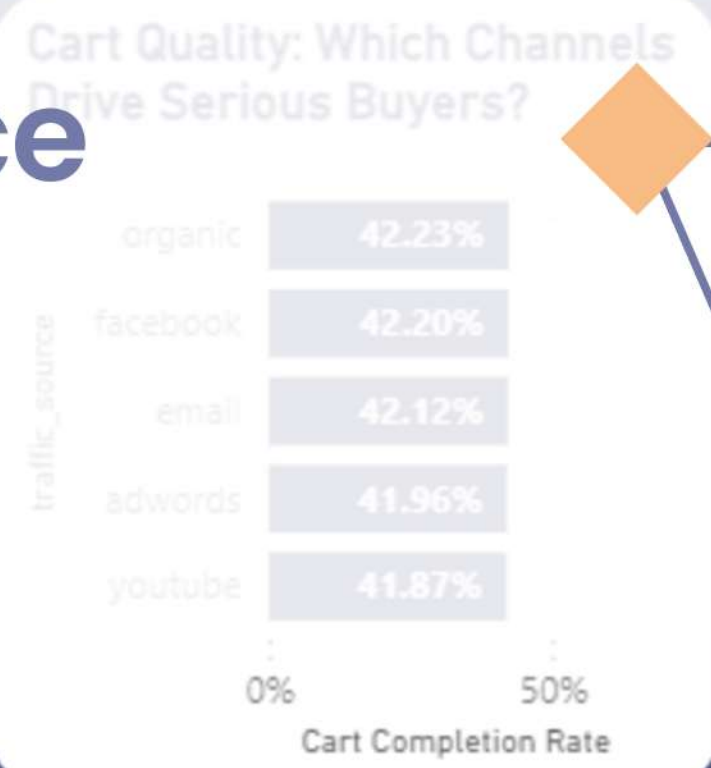
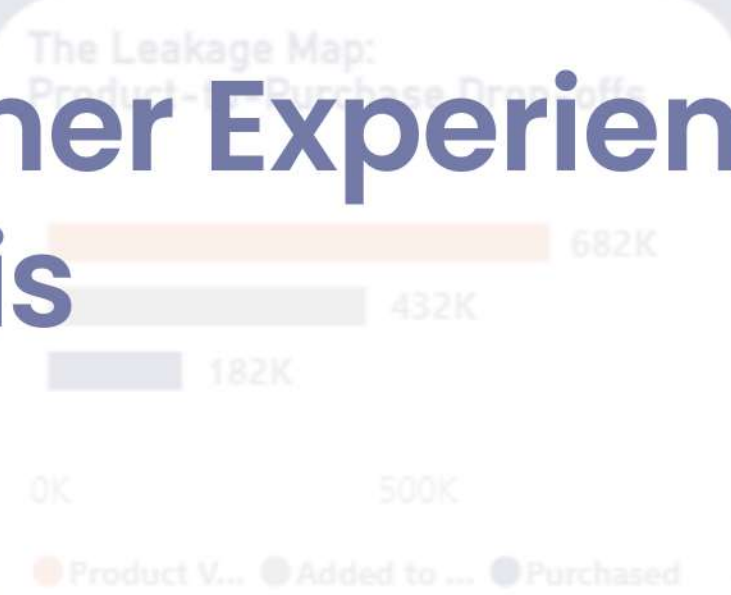
Product-to-Cart Rate

42.1%

Cart Completion Rate

14.80%

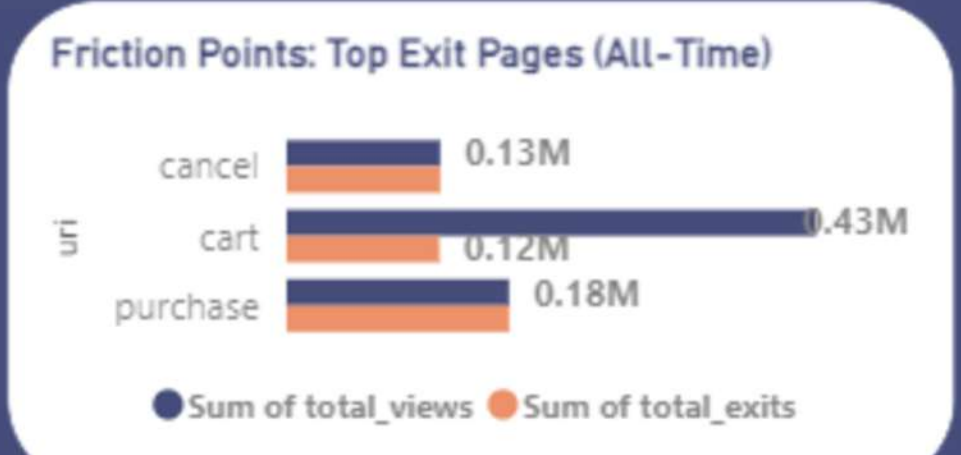
Cancellation Rate



The "Kill List": All Toxic Products

Products with 100% Return Rate need immediate review.

name	Quality Alert
Allegra K Ladies Black Fashion Fingerless Ribbing Short Gloves	100.00%
Allegra K Ladies Double Breast Long Sleeve Spring Mini Dress Black	100.00%



1. Stop the Bleeding: The \$2.7 Million Leakage

Insight: We are hemorrhaging \$2.7 Million annually due to returns (\$1.1M) and cancellations (\$1.6M). Our Item Return Rate (IRR) is 11.79%—nearly double the global e-commerce benchmark (5%–7%).

Why it matters: Operational Failure: The 14.80% Cancellation Rate indicates severe inventory or fulfillment failures that are actively destroying customer trust. Furthermore, the Cart Completion Rate is only 42.06%, showing high friction at checkout.

Action: Immediate 90-Day Clean-up Plan:

1. **Resolve Fulfillment Crisis:** Implement system checks to eliminate the 14.80% cancellation issue.
2. Remove all "Toxic Products" (IRR > 80%) immediately.

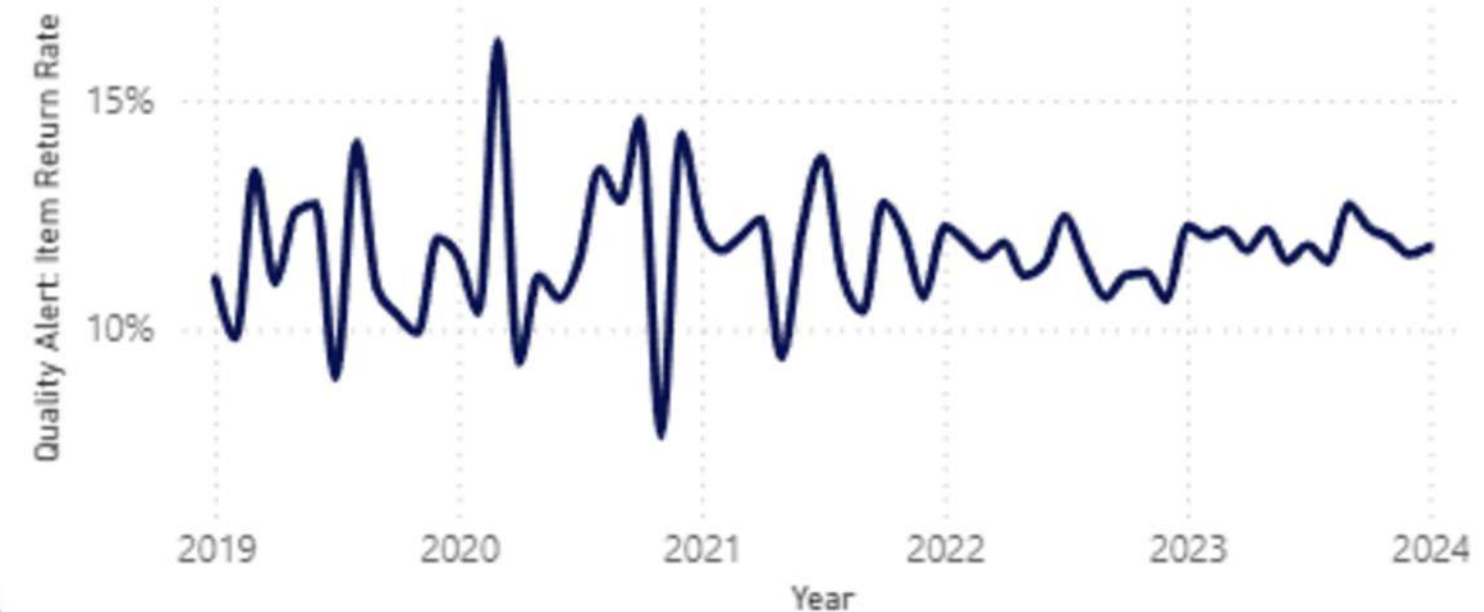
1.6M

Value Leakage: Cancellations

1.1M

Value Leakage: Returns

Pain Trend: Item Return Rate (IRR)



11.79%

Quality Alert: Item Return Rate

42.1%

Cart Completion Rate

14.80%

Cancellation Rate

Impact: Reducing the IRR to 9% will save us approximately \$200K - \$300K annually and preserve brand reputation.

2. Retention Is Our Safety Net: Proven 4-Year Compounding Value

Insight: Brutal Reality: Our business is failing to retain customers early. Repurchase rates are near zero for the first 6 months. The first signs of loyalty only emerge after Month 7, a pattern confirmed over five years (58 months).

Why it matters: The Only Defense: Given the high acquisition cost and low margins on first purchases, the long-term repurchase cycle is the only factor that ultimately makes the customer profitable. If we fail in the first 7 months, the entire acquisition cost is lost.

Action: Fix the First 6 Months:

1. Launch targeted CX campaigns to address the initial drop-off.
2. Implement automated retention flows starting precisely at Month 7 to capture the proven returning customer pool and maximize Net CLV.

Retention Evidence: The Life-time Purchase Cycle																														
cohort_month	0	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20	21	22	23	24	25	26	27	28	
2019-01-01																														
1									5.26								5.26	5.26										5.26		
2																						10.53								
19	100.00																													
2019-02-01																														
1											2.94		2.94				2.94			2.94										
2					5.88	5.88	5.88		5.88			5.88				5.88														
3																									8.82					
34	100.00																													
2019-03-01																														
1		1.33		1.33	1.33	1.33	1.33		1.33	1.33		1.33					1.33	1.33			1.33	1.33	1.33					1.33		
2								2.67						2.67										2.67				2.67		
3																														
4																														
5																														
75	100.00																													
2019-04-01	100.00	1.03	1.03	1.03		2.06	1.03		1.03	3.09		1.03		1.03	1.03		3.09		2.06	2.06	1.03	1.03		2.06	2.06		2.06	3.09		
2019-05-01	100.00	0.69	0.69	2.08	1.39	1.39	1.39	1.39	2.08		0.69	0.69		2.78	0.69		2.08	2.08	3.47		2.78	2.78		2.08	2.08	4.17	0.69	1.39	2.78	
2019-06-01	100.00	0.58	1.75	1.17	1.17	1.75	0.58	0.58	1.17	0.58	1.17	1.75		2.92	1.75	1.75	2.34	1.75	1.75	1.17		1.75	2.34	1.17	2.34	1.17	2.34	0.58		
2019-07-01	100.00	2.58	1.03	1.55		1.03	4.12	1.55	1.03	1.55	2.06	2.58	1.55	1.55	2.06	2.58	1.03	1.55		1.03	2.06	2.58	2.06	1.55	1.03	2.58		2.06	1.03	
2019-08-01	100.00	0.52	1.56	1.04	1.04	1.56	1.56	1.04		4.69	1.56	3.13	2.08	1.56	1.04	3.13	1.56	1.56	1.04		2.08	1.56	0.52	2.08	2.60	1.56	2.08	1.56	2.60	
2019-09-01	100.00	1.43	2.14	2.14	2.50	1.07	1.43	2.14	1.43	1.07	1.43	3.57	1.07	1.43	1.79	2.50	2.50	2.14	1.07	3.21	1.79		1.43	0.71	0.71	1.07	1.07	0.71	1.79	2.14
2019-10-01	100.00	2.44	2.44	2.79	2.44	1.05	1.39	1.05	2.79	1.74	0.70		1.74	2.79	1.39	1.74	1.05	1.05	1.74	1.39	1.39	0.70	0.35	1.74	2.44	2.09	1.74	1.39	1.74	
2019-11-01	100.00	2.06	1.72	1.37	1.72	2.06	1.03	1.37	0.69	1.37	2.41	1.03	1.37	1.37	1.72	0.69	1.37	1.37	2.75	2.75	3.09	1.03	2.75	1.37	1.72	1.37	2.06	0.69	1.72	
2019-12-01	100.00	1.04	1.56	2.34	2.60	2.08	1.30	1.82	1.82	2.86	2.08	1.30	1.82	1.82	1.04	0.52	2.08	1.30	1.82	1.56	2.08	0.78	2.34	2.08	1.56	2.08	2.34	1.30	1.30	
2020-01-01	100.00	2.22	0.83	1.94	1.66	1.11	1.11	1.11	1.66	0.83	2.22	2.49	1.39	1.11	1.66	1.39	2.77	1.39	1.39	1.11	2.49	1.94	1.66	1.94	0.83	1.11	2.49	1.39	2.77	
2020-02-01	100.00	0.75	2.49	2.49	1.99	2.99	1.74	1.74	2.24	1.99	1.24	1.99	1.99	1.49	2.24	1.49	2.49	2.49	1.74	1.49	1.00	1.99	1.74	1.49	1.00	1.74	0.75	2.24	2.24	

Impact: Stop burning cash on early customer abandonment. By capitalizing on the stable 4-year cycle, we transform a cost center (early churn) into a long-term profit asset.

3. The 21% Drop-Off: Fixing Our Checkout Crisis

Insight: The Checkout Collapse: We are losing **250K potential purchases** before the cart stage. Our Product-to-Cart Rate is strong at 63.4%, but the Cart Completion Rate collapses to 42.1%.

Why it matters: Critical Friction: This dramatic drop (**a 21.3% gap**) proves customers want the products, but they cannot complete the purchase. The causes are **typically mandatory registration, complex forms, or high shipping costs**.

Action: Implement Immediate CX Fixes:

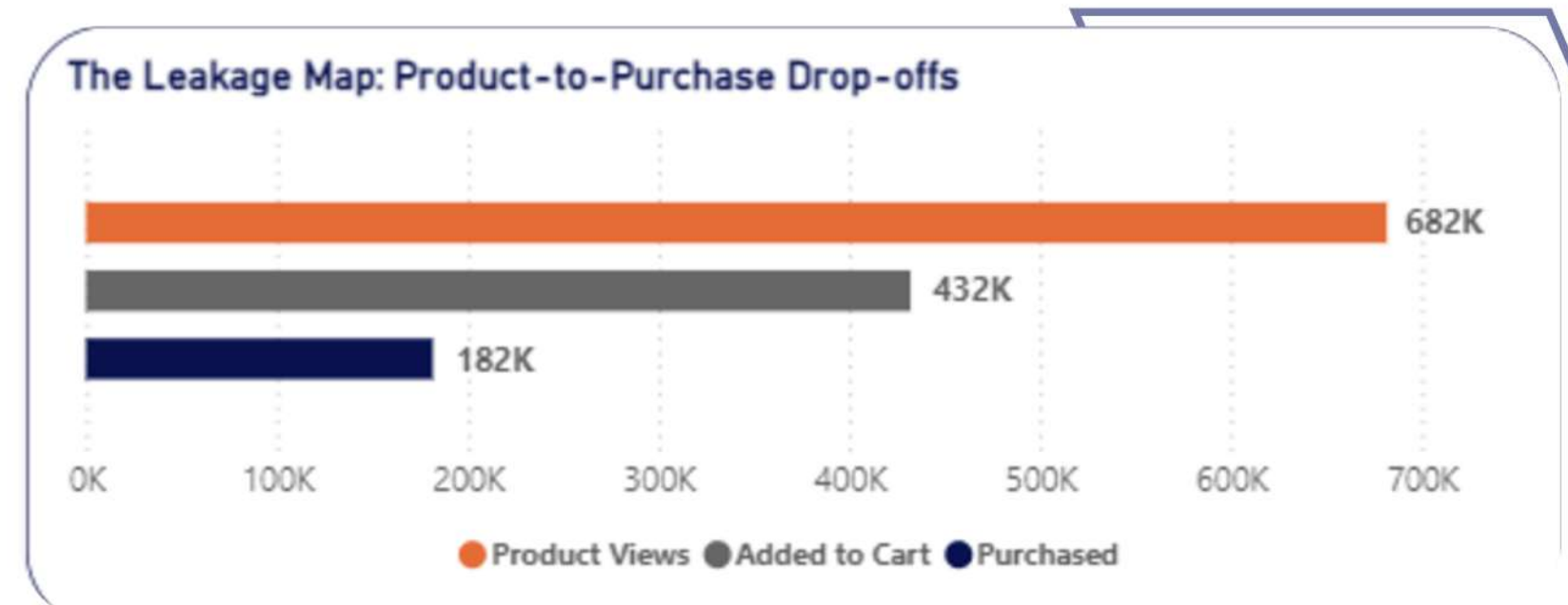
1. **Activate Guest Checkout:** Allow customers to complete purchases without mandatory registration.
2. **Simplify Forms:** Remove all non-essential fields from the final checkout page.

63.4%

Product-to-Cart Rate

42.1%

Cart Completion Rate



Impact: A 10% increase in Cart Completion Rate (to 52.1%) would directly translate to 43K additional completed orders, leading to an immediate boost in Net Revenue without spending more on traffic.



Insight Hunters

Thank You!

Making Data-Driven Decisions Is Our Priority!

